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Foreclosure / Deed-in-Lieu / Short Sale / Preforeclosure / Mortgage Charge-Off / Notice of Default

TILA Higher Priced Mortgage Loans (HPML) Appraisal Rule 1026.35(A)(1) (Property Flips)

First Lien Eligibility 1

PROGRAM MATRICES

> **§ 1.1**

See current TQL Loan/LTV Matrices.

QUALIFYING PAYMENT

> **§ 1.1.1**

The qualifying payment is based on P&I with monthly real estate taxes, property insurance, any other insurance, and any association dues.

The qualifying payment is based on the fully amortized term. For interest-only loans, using standard or Alt documentation, this is the remaining term after expiration of the interest-only period. Single asset DSCR loans

secured by 1-4 unit and 5-8 unit/2-8 mixed use properties can be qualified using the interest only payment (ITIA).

INTEREST-ONLY RESTRICTIONS

> **§ 1.1.2**

Quiry the Loan Prograam Matrices for requierments per income doc types see program Matrices. Programs: TQL Ascend™ Alt-A, TQL Ascend™ DSCR, TQL Ascend™ DSCR+, TQL Ascend™ Investor Flex, TQL Foreign National/ITIN,**/ **(TQL Ascend™ Solo Note - See Matrix)

LOAN AMOUNTS

> **§ 1.1.3**

**

Quiry the Loan Prograam Matrices for requierments per income doc types see program Matrices. **Programs:** TQL Ascend™ Alt-A, TQL Ascend™ DSCR, TQL Ascend™ DSCR+, TQL Ascend™ Investor Flex, TQL Foreign National/ITIN,**/ **(TQL Ascend™ Solo Note - See Matrix)

MINIMUM CREDIT SCORE

> **§ 1.1.4**

Quiry the Loan Prograam Matrices for requierments per income doc types see program Matrices. **Programs:** TQL Ascend™ Alt-A, TQL Ascend™ DSCR, TQL Ascend™ DSCR+, TQL Ascend™ Investor Flex, TQL Foreign National/ITIN,**/ **(TQL Ascend™ Solo Note - See Matrix)

CREDIT REVIEW DOCUMENTATION

> **§ 1.2.1**

The following documents may not be more than 60 days old at closing and vierified within 10 days of closing documents to be released (the date the Note is signed):

Income verification/paystubs

Asset documents/bank statements

Credit Report
Title Commitment/Preliminary Report/Binder/O&E
Any credit review documents exceeding these timeframes must be updated.

APPRAISAL

> **§ 1.2.2**

Residential Properties (1-4 Units):

The appraisal must be dated within 365 days of the Note date. If the appraisal is more than 120 days old at the time of the Note date, a recertification of value is required.

Commercial Properties (5-8 Unit Multifamily, 2-8 Unit Mixed-Use):

Appraisals must be dated within 120 days of the Note date. If the appraisal exceeds 120 days, a new appraisal is required.

Borrower Eligibility

> **§ 1.3** /Query the Loan Program Matrices for requirements per income doc types see program Matrices.

Programs: TQL Ascend™ Alt-A, TQL Ascend™ DSCR, TQL Ascend™ DSCR+, TQL Ascend™ Investor Flex, TQL Foreign National/ITIN,**/ **(TQL Ascend™ Solo Note - See Matrix)

CITIZENSHIP

> **§ 1.3.1**

-/Query the Loan Program Matrices for requirements per income doc types see program Matrices.

Programs: TQL Ascend™ Alt-A, TQL Ascend™ DSCR, TQL Ascend™ DSCR+, TQL Ascend™ Investor Flex, TQL Foreign National/ITIN,**/ **(TQL Ascend™ Solo Note - See Matrix)

U.S. CITIZEN

> **§ 1.3.1.1**

-Query the Loan Program Matrices for requirements per income doc types see program Matrices.

Programs: TQL Ascend™ Alt-A, TQL Ascend™ DSCR, TQL Ascend™ DSCR+, TQL Ascend™ Investor Flex, TQL Foreign National/ITIN,**/ **(TQL Ascend™ Solo Note - See Matrix)

PERMANENT RESIDENT ALIEN

> **§ 1.3.1.2**

Permanent Resident Alien is an individual lawfully admitted to the United States with the right to live and work on a permanent basis. Evidence of permanent residency includes possession of a valid Green Card (Form 1-551), which confirms employment authorization.

Acceptable Documentation Includes:

A valid Permanent Resident Card (Form 1-551), also known as a Green Card.

A Resident Alien Card (Form 1-551) with no expiration date on the back.

A Conditional Resident Alien Card (Form 1-551) with an expiration date, accompanied by a copy of the filed

INS Form 1-751, Petition to Remove Conditions on Residence.

A non-expired foreign passport containing a non-expired 1-551 stamp, which states: "Processed for 1-551

Temporary Evidence of Lawful Admission for Permanent Residence. Valid until [mm-dd-yy].

Employment

Authorized."

The stamp must be valid for a minimum of three years.

Note: Permanent Resident Aliens are eligible without additional guideline restriction.

NON-PERMANENT RESIDENT ALIEN

> **§ 1.3.1.3**

A Non-Permanent Resident Alien is an individual lawfully admitted to the United States on a temporary basis. In

order to qualify, the borrower must have legal authorization to work in the U.S., which may be evidenced by a valid

Employment Authorization Document (EAD) or a VISA that permits employment.

Borrower Eligibility Requirements

Must have resided in the U.S. for a minimum of two (2) years.

Must have been employed in the U.S. for at least two (2) years, as documented on the loan application.

Must possess a valid Social Security Number.

Must have established U.S. credit history (refer to Section 2.5 - Credit).

Temporary Protected Status (TPS):

Sellers are responsible for verifying that the borrower's country of origin continues to qualify for TPS by reviewing

the USCIS website. If TPS has been revoked or shortened for the borrower's country, the borrower is considered

ineligible.

Acceptable Documentation of Employment Authorization

Borrowers must provide proof of current employment authorization, using one of the following:

Employment Authorization Document (EAD)

Form 1-766 (Work Permit/Card): Required for employment in the U.S. if borrower is not employer-sponsored.

If the EAD expires within six (6) months of application, a letter from the employer confirming continued

employment and intent to renew is required.
If an automatic extension has been granted, the EAD is valid for up to 540 days beyond its expiration date.
Form 1-765 (Application for Employment Authorization):
Must show approval status in the Action Block (upper right corner).
Form 1-797 Series (1-797, 1-797A, 1-797B, or 1-797C):
Must convey approval and match the employer listed on the loan application.
Employment-Authorized VISA (if EAD is not provided)
Include a copy of a valid VISA that authorizes employment in the U.S. Acceptable VISA types include:
- E-Series: E-1, E-2, E-3
- G-Series: G-1 through G-5
- H-Series: H-1B
- L-Series: L-1A, L-1B
- Other types: 0-1, R-1
For Canadian or Mexican citizens, H-1B status stamped on an unexpired passport is acceptable. Additional VISA types that permit employment may be considered on a case-by-case basis. Refer to the U.S. Department of State Directory of Visa Categories for eligibility.

Asylees
> **§ 1.3.1.4**
Borrowers who have been granted asylum in the United States are considered eligible. Acceptable documentation of asylum and employment authorization includes one of the following:
Form 1-766 Employment Authorization Document (EAD) referencing category COS
Form 1-94 Arrival/Departure Record that includes:
A stamp or notation such as "Asylum granted indefinitely"
Or a reference to 8 CFR 274a. 12(a)(5) or INA 208
Note: A foreign passport is not required when Form 1-94 reflects asylum status.
An electronic 1-94 with admission class "AV" is also acceptable.
Deferred Action for Childhood Arrivals (DACA)
DACA recipients are eligible when employment authorization is properly documented. Acceptable forms include:
Form 1-766 Employment Authorization Document (EAD) referencing category C33
Form 1-797 showing approval of Form 1-765 Application for Employment Authorization with code C33
Form 1-765 itself, if: It reflects approval status in the Action Block (top right corner)
Guideline restrictions:
Standard or Alt Documentation: Maximum LTV/CLTV limited to 80%
DSCR Documentation (Investment Only): Maximum LTV/CLTV 75%
Non- occupant co-borrowers are not allowed.
Gift funds are eligible, subject to down payment requirements

FOREIGN NATIONAL
> **§ 1.3.2**
A **Foreign National** is an individual who is not a U.S. citizen, not a lawful permanent resident, and does not hold a valid non-permanent resident status. This borrower type is only eligible for investment property financing--owner-occupied and second homes are not permitted.
Eligible Program:
Foreign National (DSCR - Investment Properties Only)
Limited to DSCR documentation for investment property transactions
Ineligible Programs:
Foreign Nationals are not eligible under the following product matrices:
TQL Foreign National
DSCR (5-8 Unit / 2-8 Mixed Use)
Foreign National Program Specifics

RESIDENCE REQUIREMENTS
> **§ 1.3.2.1**
Borrower's primary residence must be in a foreign country. Borrowers with a primary residence in the U.S. are ineligible.
Loan application should include the borrower's full legal name, phone number, address including flat, floor, unit or house number, street name, city, province/state, country along with a postal code.
Foreign National Program Specific DOCUMENTATION REQUIREMENTS
> **§ 1.3.2.2**
The following are required as evidence the borrower is in the U.S. legally:
Copy of the borrowers valid and unexpired passport (including photograph) and
Copy of the borrower's valid and unexpired visa (including photograph) OR an I-797 form with valid extension dates and I-94, or

Borrowers from countries participating in the State Department's Visa Waiver Program (VWP) are not required to provide a valid visa. Participating countries can be found at <https://travel.state.gov/content/travel/en/us-visas/tourism-visit/visa-waiver-program.html> The credit

file should be documented with a current print-out of the participating countries, with the borrowers country of origin highlighted, or

Citizens of Canada traveling to the United States do not require a nonimmigrant visa.

- If a foreign national is borrowing with a U.S. citizen, foreign national documentation requirements do not apply.

Borrowers with an Individual Tax Identification Number (ITIN) are eligible so long as primary residence is not in the U.S. Proof of ITIN card or letter from IRS are not required to be documented.

FLORIDA PURCHASES - FOREIGN BUYER AFFIDAVIT REQUIREMENT

Loans secured by properties located in Florida and made to foreign individuals or entities must include one of the

following affidavits published by the Florida Land Title Association:

Conveyances to Foreign Entities - By Individual Buyer

All individuals signing a Personal Guaranty must also sign the affidavit.

Conveyances to Foreign Entities - By Entity Buyer

All entity members signing a Personal Guaranty must also sign the affidavit.

Individuals with Diplomatic immunity are not eligible, immunity status is listed on the reverse side of the U.S.

issued ID card or at: <https://2009-2017.state.gov/s/cpr/rls/dpl//index.htm>

DOCUMENT SIGNING OUTSIDE THE U.S.

Documents signed by Borrowers outside of the United States must be notarized by a U.S. embassy or

consular official. The certificate of acknowledgment must meet the standard notarial requirements and must

include the embassy or consular seal. If the U.S. embassy or consular official is unavailable, a notary is

acceptable if the country, where signing is taking place, is part of the Hague Convention and the signed

documents are accompanied by an Apostille. See the following link to determine if the country is part of the

Hague Convention:

<https://travel.state.gov/content/travel/en/records-and-authentications/authenticate-your-document/apostille-requirements.html>

Model Apostille forms can be found on the following link:

<https://www.hcch.net/en/instruments/specialised-sections/apostille>

Power of Attorney (POA) is not allowed.

QUALIFYING U.S. CREDIT FOR FOREIGN NATIONAL BORROWERS

1.3.2.3

If foreign national borrowers have established U.S. credit, the following apply:

Credit report is required, see Section 2.5 - Credit.

Restrictions when qualifying with U.S. credit:

Minimum credit score: 680

HOUSING HISTORY - FOREIGN NATIONAL

> **§ 1.3.2.4**

Housing history must be documented for the subject property, if a refinance transaction, for the most recent

12 months.

Housing history for the borrower's primary residence in a foreign country is not required to be documented.

If the borrower has U.S. credit, housing history that is documented on the credit report for properties that are

not the subject property must be included in housing history eligibility.

Additional housing history is not required when non-subject property mortgages are not reported on the credit report.

If the borrower has U.S. credit, credit events documented on the credit report for properties that are not the

subject property must be included in credit event eligibility.

For all real estate owned, housing history and credit events documented outside of the credit report must be

reviewed for program eligibility.

See Section Mortgage Verification for subject property documentation requirements.

If the borrower has U.S. credit, an updated mortgage history, defined as paid current as of the month prior to

the application date, is only required for the subject property.

For refinance transactions of the subject property, when the existing financing is a Paid In Kind (PIK) loan, a

copy of the Note must be provided in the credit file to determine required payments.

Notes allowing interest to accumulate during the term of the loan are eligible, however, all refinance transactions are treated as cashout.

FOREIGN NATIONAL INCOME

> **§ 1.3.2.5**

DSCR Income Doc Type - See Section - Debt Service Coverage (Investment Property) for DSCR calculation

methods. See Foreign National matrix for eligibility.

FOREIGN NATIONAL ASSETS

> **§ 1.3.2.6**

Acceptable asset documentation is required to be included in each loan file. The borrower must meet the minimum

contribution amount per program requirements. Assets should be liquid or able to be liquidated without restriction

by the borrower. The documentation requirement for all transactions is a single account statement covering a one

(1) month period and dated within 120 days of the loan Note date.

Assets may be held in a U.S. bank account or in a foreign account to meet funds to close and reserve

requirements.

See Section Asset Documentation for eligible sources and types of assets.

Large deposits are not required to be sourced.

Gift funds are allowed after minimum 10% borrower contribution.

ASSETS HELD IN FOREIGN ACCOUNTS

One of the following options may be utilized when documenting funds to close:

Transferred to a U.S. domiciled account in the borrower's name at least ten (10) days prior to closing

unless funds are held in a foreign bank with U.S. branches insured by the FDIC; or

Verified funds for closing to be wired directly to the closing agent prior to or as of the consummation date

(Note date). Wire transfer to include bank name, accountholder name, and account number. Bank used as

source of wire transfer must match the bank holding the assets verified in the loan file.

Documentation Requirements:

Foreign assets must be verified in U.S. Dollar equivalency at the current exchange rate via either www.xe.com or

the Wall Street Journal conversion table.

Reserves may remain in a foreign bank account or may be documented in a U.S. bank account, see matrix for

reserve requirements.

RESTRICTIONS

Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time occupy

the subject property.

o Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any

holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employee, or

manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal

descendants) of any person or entity described in the preceding.

Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.

Interest reserve accounts are not permitted.

Borrowers from China, Russia, Iran, and North Korea are ineligible when the subject property is in Texas, see

Texas Senate Bill 17 for restrictions.

Non-Occupant Co-Borrowers

> **§ 1.3.3**

A non-occupant borrower is a credit applicant on a primary residence purchase transaction who will not reside in

the subject property. The following requirements apply:

Eligible Transactions: Primary residence purchases only.

Documentation Type: Standard documentation is required for both the occupying and non-occupant borrower(s).

Debt-to-Income (DTI) Requirements:

The occupying borrower(s) must have a DTI ratio of 60% or less, calculated without including the income

or debts of the non-occupant borrower(s).

The combined DTI for all borrowers must comply with the program matrix requirements.

Title Requirements: The non-occupant borrower must be included on title for the subject property.

Certification Requirement: All borrowers and co-borrowers must complete and sign a Non-Occupant Co-Borrower Certification, modeled after the example provided in this guide.

First-Time Homebuyers (FTHB)

> **§ 1.3.4**

An individual is considered a First-Time Homebuyer (FTHB) if they meet both of the following criteria:

They are purchasing the subject (security) property; and

They have not held an ownership interest-either solely or jointly-in any residential property within the three

years preceding the application date for the subject property.

Note: Individuals classified as displaced homemakers or single parents are also considered First-Time

Homebuyers if they have not held ownership interest in a principal residence (other than joint ownership with a

spouse) during the same three-year period.

Eligibility Requirements for First-Time Homebuyer Transactions

Occupancy: Primary residence only

Debt-to-Income (DTI) Ratio: Maximum 45%

Reserves: Minimum of six (6) months required

Housing History:

Must demonstrate a 12-month rental history with no late payments (0x30), documented in accordance

with [Section 2.5.5 - Housing History].

For FTHBs with less than 12 months of rental history, the following additional restrictions apply:

- DTI may not exceed 43%
- Loan-to-Value (LTV) ratio may not exceed 80%
- Any available rental history must reflect on-time payments

Ineligible Borrowers

> **§ 1.3.5**

Irrevocable Trust

Land Trust

Blind Trust

Persons with Diplomatic Immunity, as defined by US Citizenship and Immigration Services

Persons from OFAC sanctioned countries and persons sanctioned by OFAC

Not-For-Profit entity

Any material parties (company or individual) to the transaction listed on HUD's Limited Denial of Participation

(LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list.

Title Vesting and Ownership

> **§ 1.3.6**

VESTING FOR CONSUMER AND BUSINESS PURPOSE LOANS

1.3.6.1

Ownership of the subject property may be held in fee simple or leasehold title. For details on leasehold ownership,

refer to Section 2.9.7 - Leasehold Properties.

Eligible Vesting Types:

Individual(s)

Joint Tenants

Tenants in Common

Inter Vivos Revocable Trusts

Illinois Land Trusts

Ineligible Vesting Types:

Land Trusts (except Illinois Land Trusts)

Irrevocable Trusts

Blind Trusts

Individual Retirement Accounts (IRAs)

Not-for-Profit Entities

Life Estate

INTER VIVOS REVOCABLE TRUST

Title vesting in an inter vivos revocable trust is permitted, provided the requirements outlined in this section are

met. In instances where this section does not specify guidance, Fannie Mae® guidelines should be followed.

An inter vivos revocable trust is defined as a trust that meets the following criteria:

It is established by an individual during their lifetime

It becomes effective immediately upon creation

It is revocable and amendable at any time, for any reason, by the creator (settlor), during their lifetime

Note: The trust's eligibility is not impacted by provisions stating it will become irrevocable upon the death of one of

the settlers or trustees.

Trust and Trustee Requirements:

The trust must be established by one or more natural persons, solely or jointly.

The primary beneficiary of the trust must be the individual(s) establishing the trust. If the trust is established jointly, there may be more than one primary beneficiary as long as the income or assets of at least one of the individuals establishing the trust will be used to qualify for the mortgage. The trustee must include either: the individual establishing the trust (or at least one of the individuals, if two (2) or more); or an institutional trustee that customarily performs trust functions in, and is authorized to act as trustee under the laws of, the applicable state. The trustee must 1) have the power to hold the title and 2) mortgage the security property for the purpose of securing a loan to the individual (or individuals) who are the borrower(s) under the mortgage or note. One or more of the trustees establishing the trust must use personal income and/or assets to qualify for the mortgage.

Documentation Requirements:

Trust documents are to be obtained as follows:
Fully executed and notarized Certificate of Trust Or as applicable under state law
If the trust was created under the laws of Louisiana:
Trust Extract

If allowed by state law, alternative trust documentation may be acceptable
Trust documents are to verify the following:

Trust is revocable
Borrower is the trustee and settler of the trust
Borrower is the primary beneficiary of the trust, when disclosed
Trustee is:
Duly qualified under applicable law to serve as trustee
Fully authorized under the trust documents and applicable law to pledge or otherwise encumber the trust assets

VESTING FOR BUSINESS PURPOSE LOANS (INVESTMENT OCCUPANCY)

> **§ 1.3.6.2**

A Business Purpose Loan where the borrower is an entity is limited to the following structures:
Limited Liability Company (LLC), Partnership, and Corporation.

The following requirements apply to all loans vested in an entity:

Loans vested in an entity are eligible under the following programs: Prime Time, DSCR, Closed End Second

Purpose and activities are limited to ownership and management of real property for the vesting entity.

Multi-level entity structures are allowed subject to entity documentation requirements met for all entities.

Entity must be domiciled in a U.S. State.

Personal guaranties must be provided by member(s)/manager(s) representing at least 25% cumulative ownership of the entity.

A guarantor must have authority to execute loan documents on behalf of the entity.

Each Entity member (applicant) providing a Personal Guaranty (full recourse) must complete a FNMA Form

1003 or similar credit application indicating clearly that such document is being provided in the capacity of

guarantor. Only the debt appearing on the personal credit report of individual(s) providing a personal guaranty

needs to be reflected on the FNMA Form 1003 loan application. The application of each member providing a

personal guaranty and their credit score, and creditworthiness will also be used to determine qualification and pricing.

GUARANTOR(S) DOCUMENTATION

Loan Application (e.g., FNMA Form 1003 or other application)

Completed for each guarantor that is listed on the mortgage loan

Section labelled "Title will be held in what Name(s)" should be completed with only the LLC name Signed as an individual

Credit report from all guarantors completing an application

Disclosure Documents

Business purpose loan disclosures as applicable (e.g., GFE, TIL, LE, CD, ECOA)

Any state or federally required settlement statement as applicable

Legal Documents

Note, Deed of Trust/Mortgage, and all applicable Riders must be executed by the guarantor in their

capacity as authorized signer for the entity.

Personal Guaranty

The guaranty must be full recourse

The guaranty must reference the Note and loan amount

Members/managers on the application must sign the guaranty as an individual.

Personal guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge.

ENTITY DOCUMENTATION REQUIREMENTS

Limited Liability Company (LLC)

Entity articles of organization or partnership (or equivalent)

Evidence of good standing for the state in which the entity was formed

Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)

For all other entities, a certificate of good standing is required as follows:

- Certificate of Good Standing or screen shot from state website
- The date the document was pulled must be dated within 120 days of the Note date

Entity documents authorizing the guarantor to execute loan documents on behalf of the entity (e.g., Operating

Agreement, Certificate of Authorization) If not available, a Borrowing Certificate is required

Borrowing Certificate (LLC Borrowing Certificate - Single Member or LLC Borrowing Certificate

:Multiple

Member)

Entity documents that include a list of members/managers and ownership percentage (e.g.,

organization

structure)

EIN/Tax Identification Number

Single member LLC may use EIN or the guarantor social security number

Multi-member LLCs require an EIN

Corporation

Filed Certificate/Articles of Incorporation and all amendments (or equivalent)

By-Laws and all amendments

Evidence of good standing for the state in which the entity was formed

Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)

For all other entities, a certificate of good standing is required as follows:

- Certificate of Good Standing or Screen shot from state website
- The date the document was pulled must be dated within 120 days of the Note date

EIN/Tax Identification Number

Borrowing Resolution/Corporate Resolution granting authority of signer to enter loan obligation

Partnership

Filed Partnership Certificate (if a general partnership, filing with the SOS may not be required)

Partnership Agreement and all amendments

Evidence of good standing for the state in which the entity was formed

Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)

For all other entities, a certificate of good standing is required as follows:

- Certificate of Good Standing or Screen shot from state website
- The date the document was pulled must be dated within 120 days of the Note date

EIN/Tax Identification Number

Limited partner consents (where required by partnership agreement)

Documents must be completed and signed as follows:

Signed as an individual(s):

Loan Application (FNMA Form 1003)

- Completed for each member of the Entity providing a guaranty.
- Section labelled "Title will be held in what Name(s)" should be completed with only the Entity name.

Signed by Individuals:

Personal Guaranty

- Completed for each member of the Entity providing a guarantee.
 - The guaranty should be executed at loan closing and dated the same date as the Note.
 - Personal Guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI)

must be

accompanied with a Spousal Consent to Pledge. See Spousal Consent Form

Signed by the authorized signer for the entity:

Disclosures (e.g., GFE, TIL, LE, CD, ECOA)

Any state or federally required settlement statement as applicable

Note, Deed of Trust/Mortgage, and all Riders

Power of Attorney

> **§ 1.3.6.3**

A limited Power of Attorney is acceptable when all the following are met:

It is specific to the transaction;

It is recorded with the Mortgage/Deed of Trust;

It contains an expiration date;

It is used to execute only the final loan documents;
The Borrower who executed the POA signed the initial FNMA Form 1003;
An interested party to the transaction (such as seller, broker, loan officer, realtor, etc.) may not act as Power of Attorney.
Not eligible for cash-out transactions or with Foreign National borrowers.

Occupancy Types
> **§ 1.3.7**

Primary Residence - A primary residence is a property that the borrower occupies as his or her principal residence. May also be referred to as owner-occupied.
Second Home - A second home is a property occupied by the borrower for some portion of the year. The following criteria applies:
Restricted to one-unit dwellings.
Must be suitable for year-round occupancy.
The borrower must have exclusive control over the property. Cannot be subject to any agreements giving control over occupancy to a management firm, rental pools, or timeshare arrangement.

Investment Property - An investment property is to be held or rented rather than for household or personal use, may not be used as a principal residence or second home.

Borrower Statement of Occupancy
> **§ 1.3.8**

The borrower must acknowledge the intended occupancy of the subject property ("Primary Residence", "Second Home", or "Investment") by completing and signing the appropriate sections of the "Occupancy Certification" found in the Occupancy Certification of this guide.

Borrower Statement of Business Purpose
> **§ 1.3.9**

All business purpose transactions require the borrower to acknowledge the loan is a business purpose loan by completing and signing the appropriate sections of the Borrower Certification of Business Purpose form in this guide. Total Quality Lending reserves the right to decline any loan that may indicate the property is not intended exclusively for investment purposes.
Common occupancy red flags include, but are not limited to:
Subject property value significantly exceeds the value of the borrower's primary residence.
The borrower is a first time homebuyer (FTHB) and currently living rent free or renting his/her primary residence.
Subject property could reasonably function as a second home.
Borrower documents show subject property as current residence.

Transaction Types
> **§ 1.4**

Purchase, Rate and Term Refinance (R/T, Rate/Term), Cash out Refinance (C/O, Cash-Out, Cashout)

ELIGIBLE TRANSACTIONS
> **§ 1.4.1**

PURCHASE
> **§ 1.4.1.1**

Proceeds from the transaction are used to finance the acquisition of the subject property.
LTV/CLTV is based upon the lesser of the sales price or appraised value.
Assignment of contract or finder's fees reflected on the purchase contract are eligible, subject to interested party contribution limits.
Arm's Length For-Sale-By-Owner (FSBO) transactions allowed.
If Non-Arm's Length, see Section - Non-Arm's Length Transactions.
Ensure the transaction is compliant with the Higher Priced Mortgage Loan appraisal rule. See Section - Ill A
Higher Priced Mortgage I cans Appraisal Rule (Property Flips) for details.
The loan file must include a fully executed agreement (purchase contract) of sale and counteroffer (if applicable) reflecting the following:
The purchase contract cannot be expired.
Borrower as the purchaser of the property.
Business purpose loans may reflect the Guarantor or Entity name, see Section - Vesting for Business Purpose Loans
Seller as the vested owner on title.
Correct sales price.
Amount of down payment.
Closing dates.

Concessions and seller contributions.

Buyer's Real Estate Agent Commission - In response to the NAR Settlement, the following apply:
Commission paid by the property buyer:

- Considered a closing cost.
- Source of funds must be documented in assets.
- If borrowed or financed, the monthly payment must be included in the debt-to-income ratio.

Commission paid by the property seller:

- Not considered an interested party contribution if seller agrees to pay according to the negotiated terms of the purchase contract.

RATE/TERM REFINANCE

> **§ 1.4.1.2**

At least one borrower must have ownership interest (vested on title) in the subject property at the time of the initial application. Proceeds from the transaction are used to:

Pay off an existing first mortgage loan and any subordinate loan used to acquire the property.
Pay off any subordinate loan not used in the acquisition of the subject property, provided one of the following apply:

Closed-end loan, at least 12-months of seasoning has occurred.

HELOC, at least 12-months of seasoning has occurred, and total draws over the past 12-months are less than \$2,000.

Buy out a co-owner pursuant to an agreement.

Pay off an installment land contract executed more than 12-months from the loan application date.

Other considerations:

Cash back in an amount not to exceed the lesser of 2% of the new loan amount or \$5,000 can be included in the transaction.

If the subject property was acquired greater than six (6) months, as measured from the property acquisition date (Note date) to the subject transaction Note date, the appraised value will be used to determine

LTV/CLTV.

If the subject property was acquired less than or equal to six (6) months, as measured from the property acquisition date (Note date) to the subject transaction Note date, the lesser of the current appraisal value or

previous purchase price plus documented improvements (if any) will be used to determine LTV/CLTV. The

purchase settlement statement and any invoices for materials/labor will be required.

Refinance of a previous loan that provided cash out, as measured from the previous Note date to the new

Note date, and is seasoned less than 12-months, will be considered a cash out refinance.

The transaction must be treated as cash-out when the subject property is encumbered by one of the following:

TQL SOLO NOTE Blanket/Cross-Collateralized loan, or

Loan that allows for Paid in Kind (PIK) interest

When the subject property is refinanced out of a cross collateral/blanket mortgage and into a single asset

mortgage, the following are required:

Copy of the Note for the cross collateral/blanket mortgage to verify release terms.

Copy of the Deed of Trust or Mortgage evidencing the encumbered properties.

Copy of the payoff statement for the subject property to verify payoff terms.

Transaction must be treated as cash-out when the borrower receives cashout proceeds.

CASH-OUT

> **§ 1.4.1.3**

A refinance that does not meet the definition of a rate/term transaction is considered cash-out. See Loan/LTV

Matrices for maximum cash-out amounts and restrictions.

At least one borrower must have ownership interest (vested on title) in the subject property at the time of the initial application.

Cash-Out Seasoning is defined as the length of time the subject property has been owned by the borrower (on title), as measured by the property acquisition date (Note date) to the subject transaction

Note date.

- Minimum borrower seasoning of six (6) months is required to use the current appraised value for LTV/CLTV.

- Less than six (6) months seasoning is allowed, subject to the following:

- LTV/CLTV is limited to the lower of the property's purchase price plus documented improvements or current appraised value.

- See Section Delayed Financing for additional restrictions when subject property was purchased in cash.
- Current appraised value may be used for LTV/CLTV, with one of the following documented circumstances:
 - Borrower acquired the subject property through an inheritance, or
 - Subject property was legally awarded the property through divorce, separation, or dissolution of a domestic partnership.

A mortgage secured by a property currently owned free and clear is considered cash-out. The payoff of delinquent real estate taxes (60 days or more past due) is considered cash-out. If the cash-out is for personal, family, or household use, the loan must also meet all applicable federal and state requirements of a consumer loan transaction even if the borrower is a company or the loan was initially intended for business purposes, including but not limited to the requirements of the Truth in Lending Act (15 U.S.C. § 1601 et seq.), Real Estate Settlement Procedures Act (12 U.S.C. § 2601 et seq.), Gramm-Leach Bliley Act (15 U.S.C. §§ 6802-6809), Secure and Fair Enforcement Mortgage Licensing Act (12 U.S.C. § 5601 et seq.) and Homeowners Protection Act (12 U.S.C. § 4901 et seq.).

Cash-out eligible to satisfy the reserve requirements, except for Investor Solutions DSCR 5-8 Unit/2-8 Mixed Use.

Loans not eligible for cash-out:

- Primary Residence or Second Home properties listed for sale in the past six (6) months.
- Investment properties listed for sale in the past six (6) months.
- Cash-out eligible with a minimum three (3) year prepay penalty, per requirements in Section 2.5.7 Prepayment Penalty.
- There has been a prior cash-out transaction within the past six (6) months.
- Payoff of a Land Contract/Contract for Deed.
- Non-Owner Occupied investment property transactions (Investor DSCR) when proceeds from the loan transaction are used for consumer purpose, i.e., payoff personal debt, personal tax lien(s), personal judgments, personal collection, or lines of credit secured by the subject property.
- Loans with Power of Attorney.

Builder Refinance:

- Loans to the developer or affiliates of the developer are ineligible if the builder/developer has built more than 4 independent units within a subdivision, development, or condo project containing the subject properties.
- Builder bailouts are ineligible, see Section Builder Bailout.

DELAYED FINANCING

> **§ 1.4.1.4**

Cash-out on properties purchased by the borrower with cash and owned less than 6 months is allowed. The following requirements apply:

Original transaction was an arm's-length transaction.

Settlement statement from purchase confirms no mortgage financing used to acquire subject.

Source of funds used for purchase documented (gift funds may not be included).

New loan amount can be no more than the actual documented amount of the borrower's initial investment in

purchasing the property plus the financing of closing costs, prepaid fees, and points on the new mortgage loan.

Standard cashout limits do not apply to delayed financing transactions.

LISTING SEASONING

> **§ 1.4.2**

Primary/Second Home

> **§ 1.4.2.1**

Seasoning Rate / Term Refi: Owned 0 - 6 Months use Lesser of Purchase Price + Improvements (or) Appraisal • >6 Months use the current Appraised Value

Seasoning Cash-Out Refi: Owned for 0 - 6 Months use Lesser of Purchase Price + Improvements (or) Appraisal • >6 Months use the current Appraised Value

Seasoning Recent Renovation: If the Property was Purchased for a renovation (Reno) & Renovated by the evidence in the Appraisal and has a SSR of 2.5 and Below - use the current appraised value under (6) months ownership. See Cookbook or contact TQL sales for more details Investment Properties

> **§ 1.4.2.2**

Seasoning Rate / Term Refi: Owned 0 - 6 Months use Lesser of Purchase Price + Improvements (or) Appraisal • >6 Months use the current Appraised Value

Seasoning Cash-Out Refi: Owned for 0 - 6 Months use Lesser of Purchase Price + Improvements (or) Appraisal • >6 Months use the current Appraised Value

Seasoning Recent Renovation: If the Property was Purchased for a renovation (Reno) & Renovated by the evidence in the Appraisal and has a SSR of 2.5 and Below - use the current appraised value under (6) months ownership. See Cookbook or contact TQL sales for more details

NON-ARM'S LENGTH TRANSACTIONS

> **§ 1.4.3**

Ineligible Programs Types: *DSCR,DSCR+ Foreign National / ITIN DSCR DSCR, TQL SOLO NOTE /Cross Collateral DSCR DSCR.

Renter(s) purchasing from landlord.

12-months of cancelled checks to prove timely payments are required.

A verification of rent (VOR) is not acceptable.

Purchase between family members.

Gift of equity requires a gift letter, and the equity gift credit is to be shown on the CD.

- Must provide a 12- month mortgage history on the existing mortgage securing the subject property, confirming the Family Sale is not a foreclosure bailout.

- Gift of equity is allowed only for a primary residence.

Borrower to provide verification of earnest money deposit.

Maximum LTV/CLTV of 80%

Employer to employee sales or transfers are not allowed (e.g., newly constructed properties).

Property trades between buyer and Seller are not allowed.

Commission earned by buyer/borrower cannot be used for down payment or monthly PITIA reserves.

NON-ARM'S LENGTH TRANSACTION RESTRICTIONS

> **§ 1.4.3.1**

Renter(s) purchasing from landlord.

12-months of cancelled checks to prove timely payments are required.

A verification of rent (VOR) is not acceptable.

Purchase between family members.

Gift of Equity requires a gift letter, and the equity gift credit is to be shown on the CD. Must provide a 12-

month mortgage history on the existing mortgage securing the subject property, confirming the Family

Sale is not a foreclosure bailout.

Borrower to provide verification of earnest money deposit.

Maximum LTV/CLTV of 80%.

Employer to employee sales or transfers are not allowed (e.g., newly constructed properties).

Property trades between buyer and Seller are not allowed.

Commission earned by buyer/borrower cannot be used for down payment or monthly PITIA reserves.

INTERESTED PARTY CONTRIBUTIONS (SELLER CONCESSIONS)

1.4.4

Primary and Second Home

Maximum contribution:

6% for LTVs > 75%

9% for LTVs <= 75%

Investment

May not exceed 6%

All Interested Party Contributions must be properly disclosed in the sales contract, appraisal, loan estimate and

closing disclosure and be compliant with applicable federal, state, and local law.

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker,

mortgage lender, or their affiliates, or any other party with an interest in the real estate transaction. A borrower

participating in the transaction (i.e., borrower acting as their own agent) may contribute funds (i.e., commission) up

to the maximum contribution limits referenced above.

Interested party contributions may only be used for closing costs and prepaid expenses

(Financing Concessions)

and may never be applied to any portion of the down payment or contributed to the borrower's financial reserve

requirements. If an Interested Party Contribution is present, both the appraised value and sales price must be

reduced by the concession amount that exceeds the limits referenced above.

ESCROWS - IMPOUND ACCOUNTS

> **§ 1.4.4.1**

Escrow accounts must be established by the seller, originator, or servicer to hold funds allocated for the payment

of a borrower's property taxes and insurance as they are received each month in accordance with the borrower's

mortgage documents and until such time as they are disbursed to pay the related bills.

See Section Escrow Accounts for borrower cancellation (removal) requirements after the loan closes.

HPML loans require an escrow account for property taxes, hazard insurance, and flood insurance (if applicable).

Escrow Waivers

Non-HPML Consumer Purpose Loans:

Escrow accounts for property taxes and hazard insurance may be waived subject to the following requirements:

- LTV less than or equal to 80% (State of CA will allow escrows to be waved 89.99 LTV)
- Minimum credit score of 680
- Escrow waiver is subject to an LLPA adjustment, see rate sheet for program specific adjustments

Flood insurance escrow account:

- ****Escrow**** account for flood insurance premium is required for all loans secured by residential improved real estate located in a flood zone

Business Purpose Loans:

- Escrow waivers are not allowed for the following programs:

**** TQL SOLO NOTE - Cross Collateral****

TQL Foreign National / ITIN DSCR: Borrower without a U.S. credit score

- Escrow accounts for property taxes and hazard insurance may be waived subject to the following requirements:

LTV less than or equal to 80%

Minimum credit score of 720 (Not Applicable to Foerign Nationals)

Minimum 12-months of reserves

- Escrow waiver is subject to an LLPA adjustment, see rate sheet for program specific adjustments

- Flood insurance escrow account:

Escrow account for flood insurance premium may be waived

SECONDARY FINANCING

> ****§ 1.4.4.2****

Secondary financing from any interested party is not allowed for a purchase transaction - No Seller seller carry back of any type allowed.

Secondary financing must be subordinated and included in CLTV

HELOC CLTV must be calculated at the maximum available line amount unless the borrower can provide

documentation showing the line of credit is past its draw period

Shared Equity/Shared Ownership:

Purchase: See Section Shared Equity for restrictions

Refinance: Must be subordinated and included in CLTV

PREPAYMENT PENALTY

> ****§ 1.4.4.3****

Investment Property Only

A prepayment penalty on a mortgage loan is a fee that a lender may charge if the borrower pays off the loan early,

either by refinancing, selling the home, or making extra payments that exceed a specified limit. Where permitted

by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the

period between one (1) and five (5) years following the execution date of the Note.

The following prepayment structures may be used:

Prepayment Penalty "• Maximum Term: 5 Years • Acceptable Prepayment Fee Structures: 5%, 3% (Min 3yr Term), 6 Months Interest Payments, Stepdown 3yr Min 3%-2%-1%, 1 Year Prepay Term will require a 5% Prepay Fee • States that do not allow for a Prepay Penalty will be priced with NO Prepay: Penalties not allowed in AK, KS, MI, MN, NM, and RI

• State Specific: IL & NJ - Declining Prepay Fee Structure Only (3yr 3-2-1) OR NO Prepay- on Loans vested in a Individuals PersonalName in IL and NJ / Penalties not allowed on loan amounts less than \$320,00 in PA / Penalties on 1-2 unit properties cannot exceed 1% of the loan Amount in the First 5yrs for the State of OH"

is \$320,000.

CREDIT

> ****§ 1.5****

CREDIT REPORTS

> ****§ 1.5.1****

A credit report is required for each individual borrower, including any member of an entity providing a personal

guaranty. The credit report should provide merged credit data from the three major credit repositories: Experian,

TransUnion, and Equifax.

GAP CREDIT/UNDISCLOSED DEBT

> ****§ 1.5.2****

A gap credit report or Undisclosed Debt Monitoring (UDM) report is required no more than 10-days prior to loan

closing or any time after closing. Any new tradeline with a balance must be included in determining the DTI ratio.

Business purpose DSCR transactions are excluded from this requirement.

FRAUD REPORT AND OFAC SEARCH

> **§ 1.5.3**

FRAUD REPORT

> **§ 1.5.3.1**

Data integrity is crucial to quality loan file delivery and mitigation of fraud risk. Fraud report is required from an automated fraud and data check vendor solution.

Requirements:

Transaction participants must be included in the fraud report as follows: Borrowers/Guarantors, Property Sellers.

- Only member(s)/manager(s) of an entity providing a guaranty are required to be included in the fraud report.

An industry recognized fraud and data vendor must be used

A copy of the findings report from the vendor must be provided in the loan file with all "high" alerts, or "red flags" addressed and/or cleared by the seller.

Sellers may clear "high" alerts or "red flags" directly through the vendor solution or with a signed

attestation. The attestation must address each "high" alert, or "red flag" noted in the fraud report. Total

Quality Lending may request additional documentation to address high fraud risk.

Fraud reports for loans secured by multiple properties (TQK SOLO NOTE - Cross Collateral) do not need to reference every property, all other requirements apply.

Fraud reports must include the following exclusionary lists:

- HUD's Limited Denial Participation (LDP)
- HUD's General Services Administration (GSA)
- Federal Housing Finance Agency (FHFA) Suspended Counterparty Program
- Freddie Mac Exclusionary List

OFAC SEARCH

> **§ 1.5.3.2**

The Office of Foreign Assets Control (OFAC) of the US Department of Treasury administers and enforces

economic and trade sanctions based on US foreign policy and national security goals against individuals and

foreign countries. A clear OFAC search for individuals and foreign countries is required.

INDIVIDUALS

Individuals identified on OFAC's SDN list are not eligible. All individuals involved in the transaction must be

screened through exclusionary lists and must be cleared through OFAC's SDN list, regardless of citizenship status.

Requirements:

- A search of Specially Designated Nationals & Blocked Persons list must be completed via the US Department of Treasury.
- Individuals to be included in the OFAC search: Borrowers/Guarantors, Property Sellers.
- When the borrower is an entity, Guarantor(s) and all member(s)/manager(s) of the entity must be included in the OFAC search.

FOREIGN COUNTRIES

Borrower(s)/Guarantor(s) from OFAC sanctioned countries are not eligible. The

Borrower(s)/Guarantor(s) are

defined as individuals signing the loan application.

Requirements:

- Borrowers/Guarantors who are Foreign Nationals must be screened against the OFAC sanctioned countries list. Search to be completed via the US Department of Treasury Office of Foreign Asset Control.
- Not applicable for Non-Permanent Resident Aliens and Permanent Resident Aliens.
- If the borrower is an entity, member(s)/manager(s) who are not Guarantors do not have to be screened against the OFAC sanctioned country list.

CREDIT INQUIRIES

> **§ 1.5.4**

Credit inquiries listed on the report within 90 days of the report date must be addressed by the borrower with a

letter of explanation. If new credit was extended, borrowers must provide documentation on the current balance

and payment. New payment terms are to be included in the DTI ratio. DSCR is excluded from addressing credit

inquiries.

HOUSING HISTORY

> **§ 1.5.5**

Housing payment history is required for all Real Estate Owned (REO) evidencing the payment

activity for the most recent 12-months.

For refinances, most recent 12-month housing payment history is required for all mortgages secured against the subject property. All payment history will be used for program eligibility, see applicable program matrix for housing history requirements.

Housing payments must be paid current as of 45 days of the loan application date

Any REO listed on the application owned free & clear requires a Property Profile Report or similar document

Property taxes, all insurance, and homeowner's association dues (if applicable) are to be verified and included in DTI

Borrower(s) who sold a primary residence within the past six (6) months, currently residing rent-free, and purchasing a new primary residence are allowed. 12-month mortgage history is required on previous primary residence.

Less than 12-month history or residing rent-free allowed with the following restrictions: DTI may not exceed 50%.

LTV may not exceed 80%.

Any available portion of a 12-month housing history must be paid as agreed.

Borrowers who are currently renting a residence, a most recent 12-month rental history is required reflecting paid as agreed.

If income is being used from a non-subject REO, a housing history is required.

Applies to properties vested to an individual or entity.

Mortgage liability must be factored in to the net rental income used for qualification.

DSCR transactions have separate housing history requirements, see Section - Housing History DSCR.

For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.

MORTGAGE VERIFICATION

> **§ 1.5.5.1**

The seller must review mortgage history documentation to determine the payment status of all mortgage accounts.

Rolling late payments are not considered a single event. Each occurrence of a contractual delinquency is considered individually for loan eligibility.

MORTGAGE(S) REPORTING ON CREDIT REPORT

The seller must review the credit report to determine the payment status of all reported mortgage accounts for the previous 12-months.

If a complete 12-month mortgage history is not reported on the credit report, the seller must use one of the following to complete the borrower's payment history:

Credit supplement; or

Verification of Mortgage form (VOM) completed by the creditor/servicer; or

Loan payment history from the creditor/servicer; or

Borrower's proof of payment (e.g., cancelled check, ACH payment, bank transfer, etc.)

For DSCR transactions, any mortgage appearing on the credit report will be included in the housing history eligibility.

MORTGAGE(S) NOT REPORTING ON CREDIT REPORT

The seller must review documentation for the previous 12-months to determine the payment status of all mortgage accounts not reporting on the credit report.

12-months mortgage payment history is to be documented, as follows:

Mortgage statement or Note for the review period to verify monthly payment amount, and

Proof of payments through one of the following:

12-months cancelled checks, ACH payment, bank transfer/wire, or electronic payment method from the borrower

Payments made in cash are not eligible, or

12-months mortgage statements for the review period, or

12-months loan payment history from the creditor/servicer

Proof of borrower's payment for the most recent 6-months is required, or

12-months Verification of Mortgage form (VOM) completed by the creditor/servicer

Proof of borrower's payment for the most recent 6-months is required

Credit supplement

- Proof of borrower's payment for the most recent 6-months is required

If subject transaction is a refinance, mortgage payoff statement is required from the

creditor/servicer:

Payoff statement that reflects late fees, deferred balance, or delinquent interest greater than 30 days are

subject to housing history and/or credit event criteria. Transaction is to be considered cashout.

BALLOON NOTES WITH MATURITY DEFAULT

> **§ 1.5.5.2**

Notes with a balloon feature with an expired maturity date exceeding 30 days require an extension to avoid being counted as delinquent (e.g., delinquent 31 days is 1x30 late, delinquent 61 days is 1x60 late, etc).

RENTAL VERIFICATION

> **§ 1.5.5.3**

A 12-month rental history is required for all Total Quality Lending programs when the borrower is renting their

current primary residence. The following documents are required:

Verification of Rent (VOR) completed by the landlord; or

Lease agreement and borrower's proof of payment for the most recent 12- months (e.g., Cancelled checks,

bank statements, ACH payments, bank transfer/wire, or electronic payment method)

DEPARTURE RESIDENCE

> **§ 1.5.5.4**

If the borrower's current principal residence is pending sale but the transaction will not close prior to the

subject transaction, the current PITIA and proposed PITIA must be used in qualifying the borrower. The

current PITIA may be excluded provided the credit file is documented with the following:

The executed sales contract for the current residence, and

Confirmation that any financing contingencies have been cleared.

If the borrower plans to convert their departure residence to a rental property, the current PITIA and proposed

PITIA must be used in qualifying the borrower. The current PITIA for the departure residence may be offset

using 75% of the gross monthly rent. The rental income must be documented with a current lease agreement

and one of the following:

Single Family Comparable Rent Schedule (FNMA Form 1007), must use lower of actual rent or market rent; or

Proof of receipt of security deposit and first month's rent.

CONSUMER CREDIT

> **§ 1.5.6**

INSTALLMENT DEBT

> **§ 1.5.6.1**

Installment debt is a monthly obligation with fixed payments and terms. Payments on installments must be

included in the borrower's debt-to-income (DTI) ratio.

Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. If the

payment is substantial and exceeds 5% of the borrower's qualifying income, the overall transaction should be

reviewed to ensure the remaining payments will not impact the borrower's ability to handle the new mortgage

payment.

Installment debt paid in full or prior to closing can be excluded from the debt-to-income ratio.

Supporting

documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence

the debt has been paid in full.

LEASE PAYMENTS

> **§ 1.5.6.2**

Lease payments must be considered as recurring monthly debt obligations and included in DTI ratio calculation.

This is regardless of the number of months remaining on the lease. This is because the expiration of a lease

agreement for rental housing or an automobile typically leads to either a new lease agreement, the buyout of the

existing lease, or the purchase of a new vehicle or house.

STUDENT LOANS

> **§ 1.5.6.3**

If a monthly student loan payment is provided on the credit report, the Seller may use that amount for qualifying

purposes. If the credit report does not reflect the correct monthly payment, the Seller may use the monthly

payment that is on the student loan documentation (the most recent student loan statement) to qualify the borrower. If the credit report does not provide a monthly payment for the student loan, or if the credit report shows \$0 as the monthly payment, the Seller must determine the qualifying monthly payment. For deferred loans or loans in forbearance, the Seller may calculate: a payment equal to 1% of the outstanding balance (even if this amount is lower than the actual fully amortizing payment), or a fully amortizing payment using the documented loan repayment terms.

DEFERRED INSTALLMENT DEBT

> **§ 1.5.6.4**

Deferred installment debts must be included as part of the borrower's recurring monthly debt obligations. For deferred installment debts other than student loans, if the borrower's credit report does not indicate the monthly amount that will be payable at the end of the deferment period, the Seller must obtain copies of the borrower's payment letters or forbearance agreements so that a monthly payment can be determined and used in calculating the borrower's total monthly obligations.

REVOLVING DEBT

> **§ 1.5.6.5**

Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment, as stated on the credit report or current account statement, should be used to calculate the debt-to-income ratio. If no payment is stated on the credit report, the greater of \$10 or 5% of the current balance should be included in the DTI ratio calculation. Revolving accounts can be paid off prior to or at closing in order to exclude the payment from the debt ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full. Equity lines of credit secured by real estate should be included in the housing expense. If the credit report does not show a minimum payment amount, the Seller must use 5% of the outstanding balance to be included in the DTI ratio calculation.

Any non-mortgage account can be no more than 30 days delinquent at time of application, except for DSCR transactions. Any delinquent account must either be brought current or paid off at closing, except for DSCR transactions.

AUTHORIZED USER ACCOUNTS

> **§ 1.5.6.6**

Authorized user accounts can be excluded from the debt-to-income ratio. open 30-day charge accounts

> **§ 1.5.6.7**

For open 30-day charge accounts that do not reflect a monthly payment on the credit report, or 30-day accounts that reflect a monthly payment that is identical to the account balance, sellers must verify borrower funds to cover the account balance. The verified funds must be in addition to any funds required for closing costs and reserves.

SOLAR PANELS

> **§ 1.5.6.8**

Installment debt from financed or leased payments associated with solar panels are to be included in the debt-to-income ratio. See Section - Solar Panels for additional criteria.

TIMESHARES

> **§ 1.5.6.9**

Timeshare obligations will be treated as a consumer installment loan.

BUSINESS DEBT

> **§ 1.5.6.10**

A business debt is a financial obligation of a business but may also be the responsibility of the business owner, making that person also liable for the debt. If the debt is reflected on the borrower's personal credit report, the borrower is personally liable for the debt, and it must be included in the debt-to-income ratio. When a self-employed borrower claims that a monthly obligation that appears on his or her personal

credit report (such as a Small Business Administration loan) is being paid by the borrower's business, the seller must confirm that it verified that the obligation was actually paid out of company funds to exclude the debt. Any of the following supporting documentation can be included in the credit file to exclude business debt:

Most recent six (6) months of cancelled checks, ACH payment, or transferred draw against the business account

Tax returns reflecting the business expense deduction

Business bank account statement showing assets remaining after funds to close and reserve requirements

are deducted, with a balance greater than or equal to the balance of the debt.

If the debt is less than six (6) months old, the payment must be included in the DTI ratio.

CONTINGENT LIABILITY ON COSIGNED OBLIGATIONS (DEBT PAID

BY OTHERS)

> **§ 1.5.6.11**

Contingent liability applies, and the debt must be included in the underwriting analysis, if an individual applying for

a mortgage is a cosigner/co-obligor on:

Car loan

Student loan

Mortgage

Any other obligation

If the Seller obtains proof that the borrower is not the party who is repaying the debt, the Seller may exclude

the debt. In order to exclude debts from the borrower's DTI ratio, the Seller must obtain the most recent

12-months.

Court-Ordered Assignment of Debt

> **§ 1.5.6.12**

When a borrower has outstanding debt that was assigned to another party by court order (such as under a divorce

decree or separation agreement) and the creditor does not release the borrower from liability, the borrower has a

contingent liability. The seller is not required to count this contingent liability as part of the borrower's recurring monthly debt obligations.

The seller is not required to evaluate the payment history for the assigned debt after the effective date of the

assignment. The seller cannot disregard the borrower's payment history for the debt before its assignment.

Loans Secured by Financial Assets

> **§ 1.5.6.13**

When a borrower uses his or her financial assets--life insurance policies, 401(k) accounts, individual retirement

accounts, certificates of deposit, stocks, bonds, etc.--as security for a loan, the borrower has a contingent liability.

The seller is not required to include this contingent liability as part of the borrower's recurring monthly debt

obligations provided the seller obtains a copy of the applicable loan instrument that shows the borrower's financial

asset as collateral for the loan. If the borrower intends to use the same asset to satisfy financial reserve

requirements, the seller must reduce the value of the asset (the account balance, in most cases) by the proceeds

from the secured loan and any related fees to determine whether the borrower has sufficient reserves.

Payment on any debt secured by virtual currency is an exception to the above policy and must be included when

calculating the debt-to-income ratio.

Consumer Credit Charge-Offs and Collections

> **§ 1.5.6.14**

Delinquent credit, such as charge-offs of non-mortgage accounts and collections, have the potential to affect loan

position or diminish borrower equity.

Individual collection and non-mortgage charge-off accounts equal to or greater than \$250, and accounts that total

more than \$2,000, must be paid in full prior to or at closing. See below for exceptions:

Medical collections may remain open.

A second mortgage or junior lien that has been charged off is subject to foreclosure seasoning periods for

grade determination, based on the charge-off date.

Collections and charge-offs that have expired under the state statute of limitations on debts

may be excluded from the DTI calculation. Evidence of expiration must be documented. For DSCR transactions, charge-offs and collections can be ignored unless they are title impacted. Charge-offs and collections not excluded by the above bullet points must be paid or may stay open if using one or a combination of both of the following: Payments for open charge-offs or collections are included in the DTI (subject to program DTI restrictions). If the payment amount is not known, 5% of the balance may be used as the payment. Reserves are sufficient to cover the balance of the charge-offs or collections and meet reserve requirements.

Consumer Credit Counseling Services

> **§ 1.5.6.15**

Borrower enrollment in Consumer Credit Counseling Services (CCCS) is allowed when a minimum of 12-months have elapsed on the plan, and evidence of timely payments for the most recent 12-months is provided. The CCCS Administrator must also provide a letter allowing the borrower to seek financing on a new home while enrolled in the plan. A monthly CCCS plan payment must be included in the DTI calculation.

Judgment or Liens

> **§ 1.5.6.16**

All open judgments and all outstanding involuntary liens must be paid off prior to or at loan closing, subordination is not allowed. Documentation of the satisfaction of these liabilities, along with verification of funds sufficient to satisfy these obligations, must also be obtained.

Income Tax Liens

> **§ 1.5.6.17**

Income tax installment agreements are allowed subject to the following: There is no indication that a Notice of Federal or State Income Tax Lien has been filed against the borrower in the county in which the subject property is located.

Subordination is not allowed.

The file must contain a copy of the approved IRS installment agreement with the terms of repayment, including the monthly payment amount and total amount due. A minimum of two (2) payments have been made under the plan with all payments made on time and the account is current. Acceptable evidence includes the most recent payment reminder from the IRS, reflecting the last payment amount and date and the next payment amount owed and due date. The maximum payment required under the plan is included in the DTI calculation. All tax liens (federal, state, and local) must be paid off prior to or at loan closing unless the requirements listed below are met:

The file must contain a copy of the approved IRS installment agreement with the terms of repayment, including the monthly payment amount and total amount due (Only one plan allowed). A minimum of two (2) payments have been made under the plan with all payments made on time and the account is current. Acceptable evidence includes the most recent payment reminder from the IRS, reflecting the last payment amount and date and the next payment amount owed and due date. The maximum payment required under the plan is included in the DTI calculation. The balance of the lien, or repayment plan, must be included when determining the maximum CLTV for the program.

Refinance transactions require a subordination agreement from the taxing authority for liens against the subject property.

Disputed Tradelines

> **§ 1.5.6.18**

Revolving account: See Section - Revolving Debt

Installment account: See Section - Installment Debt

Mortgage account: Housing history restrictions apply, see Section - Housing History

Collection/charge-off account: See Section - Consumer Credit Charge-Offs and Collections

Bankruptcy History

> **§ 1.5.7**

Recent bankruptcies are not allowed. All bankruptcies must be settled a minimum of twelve (12) months. Specific programs may have longer periods, see Product Matrices for details. Evidence of bankruptcy resolution is

required. The length of time is measured from the discharge/dismissal date to the Note date.
Foreclosure / Deed-in-Lieu / Short Sale / Preforeclosure / Mortgage

Charge-Off

> **§ 1.5.8**

Must be completed a minimum of twelve (12) months. Specific programs may have longer periods, see Product

Matrices for details. The length of time is measured from the settlement date to the Note date. In the case of a

foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of

discharge of bankruptcy and the foreclosure completion date.

The following events are considered the same as a foreclosure for loan eligibility:

Deed-In-Lieu of foreclosure: Transaction in which the deed to the real property is transferred back to the

servicer. These are typically identified on the credit report through Remarks Codes such as "Forfeit deed-in-lieu of foreclosure."

Short Sale or Pre-foreclosure Sale: Sale of a property in lieu of a foreclosure resulting in a payoff of less

than the total amount owed, which was pre-approved by the servicer. These are typically identified on the

credit report through Remarks Codes such as "Settled for less than full balance."

Charge-off of a Mortgage Account: Occurs when a creditor has determined that there is minimal likelihood

that the mortgage debt will be collected. A charge-off is typically reported after an account reaches a certain

delinquency status and may be identified on the credit report with a manner of payment (MOP) code of "9."

Notice of Default

> **§ 1.5.9**

A Notice of Default will be considered a 90x12 under housing history restrictions. If the borrower cured the default

and has made 12 timely payments, they are eligible without any restrictions.

Forbearance, Modification, or Deferrals

> **§ 1.5.10**

Forbearances, modifications, and deferrals are considered under housing payment history as outlined below:

Greater than 12-months from Note Date: Forbearance, loan modifications, or deferrals completed or

reinstated greater than 12-months from the Note date of the subject transaction may be eligible subject to

housing history requirements for the selected program.

Within 12-months of Note Date: Forbearance, loan modifications, or deferrals completed or

reinstated within

12-months of the Note date of the subject transaction will be treated as a 0x90x12 under Prime Time Housing

History for eligibility and pricing.

Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date of the

subject transaction are not eligible under Prime Time Plus, Prime Time, ITIN, DSCR - DSCR, DSCR - DSCR

5-8 unit/2-8 mixed use, and DSCR CrossCollateral.

Credit Score

> **§ 1.5.11**

Loan eligibility is based upon the representative credit score, also referred to as the decision credit score. A valid

decision credit score requires at least one (1) borrower to have a minimum of two (2) credit scores. To determine a

borrower(s) credit score, use the lower of two (2) or middle of three (3) credit scores.

For a loan file with one borrower, that borrower's score is the decision credit score. For loan

files with multiple

borrowers:

Standard and Alt Documentation: The borrower with the higher monthly income is considered the

primary

borrower and their credit score can be used as the decision credit score.

If the borrower and co-borrower are self-employed and jointly own the business being used for

income,

the highest score amongst the borrowers is used as the decision credit score.

DSCR Documentation: Determine a decision credit score for each borrower/guarantor (lower of two

or

middle of three), use the highest decision credit score amongst all borrowers/guarantors to

determine loan

eligibility.

Asset Utilization: Use the lowest score amongst all borrowers who will be on the loan as the

decision credit
score.
Tradelines
> **§ 1.5.12**

Standard Tradelines
> **§ 1.5.12.1**

Prime Time / ITIN: If the primary borrower has three (3) credit scores, the minimum tradeline requirement is waived. For loans when the primary borrower has less than three credit scores, each borrower must meet the minimum tradeline requirements, unless the co-borrower is the spouse of the borrower. In that case, only one spouse is required to meet the minimum tradeline requirements outlined below.

DSCR - DSCR: For each borrower who has three (3) credit scores, the minimum tradeline requirement is waived (all borrowers must be evaluated individually). Each borrower with less than three (3) credit scores must meet the minimum tradeline requirements outlined below.

Foreign National DSCR With U.S. Credit: For each borrower who has three (3) credit scores, the minimum tradeline requirement is waived (all borrowers must be evaluated individually). Each borrower with less than three (3) credit scores must meet the minimum tradeline requirements outlined below. The minimum tradeline requirements are as follows:

At least three (3) tradelines reporting for a minimum of 12-months, with activity in the last 12-months, or

At least two (2) tradelines reporting for a minimum of 24-months, with activity in the last 12-months.

Borrowers who do not meet one of the above tradeline requirements, but have a minimum of two credit scores,

can alternatively satisfy the tradeline requirement by meeting the requirements below:

No fewer than eight (8) tradelines are reporting, one (1) of which must be a mortgage or a rental history.

At least one (1) tradeline has been open and reporting for a minimum of twelve (12) months.

The borrower has an established credit history of at least eight (8) years.

Tradelines with recent serious adverse history are not acceptable. Student loans can be counted in credit depth as

long as they are in repayment and not being deferred. The following are not acceptable to be counted as

tradelines:

"Non-traditional" credit as defined by Fannie Mae®

Collection accounts

Self-reported tradeline

Any liabilities in deferment status

Accounts discharged through bankruptcy

Authorized user accounts

Charge-offs

Foreclosures

Deed-in-lieu of foreclosure

Short sales (cont below)

Pre-foreclosure sales

Obligations Not Appearing On Credit Report

> **§ 1.5.13**

Housing and Mortgage-Related Obligations

> **§ 1.5.13.1**

Housing and mortgage-related obligations include property taxes, insurance premiums, and similar charges that

are required by the creditor (i.e., mortgage insurance), ground rent, and leasehold payments.

All properties owned

by the borrower must be fully documented in this regard on the Schedule of Real Estate Owned (REO) section of

the FNMA Form 1003 loan application. These obligations must be verified (subject to the program criteria) using

reasonably reliable records such as taxing authority or local government records, homeowner's association billing

statements, or information obtained from a valid and legally executed contract.

Current Debt Obligations, Alimony, and Child Support

> **§ 1.5.13.2**

A Seller may use a credit report to verify a borrower's current debt obligations, unless the Seller has reason to

know that the information on the report is inaccurate or disputed. Obligations that do not appear on the credit

report, such as alimony and child support, must be documented through other methods according to Fannie Mae® guidelines.

When the borrower is required to pay alimony, child support, or separate maintenance payments under a divorce decree, separation agreement, or any other written legal agreement - and those payments must continue to be made for more than 10 months - the payments must be considered as part of the borrower's recurring monthly debt obligations. However, voluntary payments do not need to be taken into consideration and an exception is allowed for alimony. For alimony obligations, the Seller has the option to reduce the qualifying income by the amount of the alimony obligation in lieu of including it as a monthly payment in the calculation of the DTI ratio. If the Seller exercises this option, a copy of the divorce decree, separation agreement, court order, or equivalent documentation confirming the amount of the obligation must be obtained and retained in the loan file.

Assets

> **§ 1.6**

THE FOLLOWING APPLY TO ALL TRANSACTIONS UNLESS OTHERWISE STATED.

Asset Requirements

> **§ 1.6.1**

Acceptable asset documentation is required to be included in each loan file. The borrower must meet the minimum contribution amount per program requirements. Assets should be liquid or able to be liquidated without restriction by the borrower. The documentation requirement for all transactions is a single account statement covering a one (1) month period and dated within 120 days of the loan note date.

Large deposits must be sourced as follows:

If personal accounts are used for assets, large deposits defined as any single deposit that represents greater than 100% of the borrower's qualifying monthly income are to be documented for a purchase transaction.

If business accounts are used for assets, the following applies:

Business account used for income: Large deposits greater than 100% of monthly business revenue must be documented for a purchase transaction.

Business account not used for income: Large deposits do not need to be sourced.

Large deposits do not need to be sourced on DSCR - DSCR loans.

Asset Documentation

> **§ 1.6.2**

The following may be used as asset documentation for down payment, closing costs, and reserves. See applicable

Loan/LTV matrix for minimum reserve requirement.

Account statements (e.g., checking, savings, share, or brokerage accounts)

Statements must include the following:

- Name of financial institution
- Reflect borrower as the account holder (Funds held jointly with another individual are considered

100% of the borrower's funds)

- Account number
- Statement date
- Time period covered by the statement
- Available balance in U.S. dollar denomination

Assets held in foreign accounts must be translated to English and verified in US Dollar equivalency at the

current exchange rate via either <http://www.xe.com> or the Wall Street Journal conversion table.

Assets held in a Trust require the following:

Obtain written documentation (e.g., bank statements) of the value of the trust account from either the trust manager or the trustee, and

Document the conditions under which the borrower has access to the funds

Accounts verified using a third-party vendor participating in the Fannie Mae Day 1 Certainty® process.

Verification of Deposit completed by the verifying financial institution (FNMA Form 1006).

Borrowed funds secured by an asset are an acceptable source of funds for the down payment, closing

costs, and reserves, since borrowed funds secured by an asset represent a return of equity.

Assets that may

be used to secure funds include automobiles, artwork, collectibles, real estate, or financial assets, such as

savings accounts, certificates of deposit, stocks, bonds, and 401(k) accounts. When qualifying the borrower, monthly payments on loans secured by non-financial assets must be included in the debt-to-income calculation for non-DSCR transactions. When loans are secured by the borrower's financial assets, monthly payments for the loan do not have to be considered as long-term debt. See Section - Loans Secured by Financial Assets for complete details.

Stocks/bonds/mutual funds - 100% of the account(s) value may be considered for assets.

Vested retirement account (e.g., IRA, 401k, Keogh, 403b) - 70% of the vested balance may be considered for assets. For downpayment and closing costs, if funds haven't been liquidated, confirm the borrower can access/withdraw funds. For reserves, terms of withdrawal are not required.

Business accounts may be considered for assets.

Consumer Purpose Loans: The amount of business assets that may be utilized is limited to the borrower's ownership percentage in the business.

Business Purpose Loans:

- Assets held in the name of the vested entity: 100% of the assets may be used.
- Assets not held in the name of the vested entity: The amount of business assets that may be utilized is limited to the borrower's ownership percentage in the business.

Cash Value of Life Insurance - 100% of the cash surrender value less any loans may be considered for assets.

Non-regulated Financial Assets

Crypto Currency - Bitcoin and Ethereum are eligible sources of funds for the down payment, closing costs and reserves. Crypto is not an eligible liquid asset for asset utilization/depletion.

- Down payment and closing costs: currency must be liquidated and deposited into an established US bank account.
- Reserves: Loan file must include a statement meeting the requirements under account statements to document ownership of the crypto holdings. Current valuation, within 30 days of the loan Note date, can only be determined from the Coinbase exchange. 60% of the current valuation will be considered eligible funds.

1031 Exchange (Like-Kind Exchange) Funds

Following documents are required:

- 1031 Exchange Agreement
- Final settlement statement verifying net proceeds from the relinquished property
- Letter from the Qualified Intermediary verifying current funds available to the borrower
- Restrictions:
- Proceeds cannot be used to meet reserve requirements.
- Reverse 1031 Exchange is ineligible.

The following are not acceptable as asset documentation:

Non-vested or restricted stock accounts.

Cash-on-hand.

Sweat equity.

Gift or Grant funds which must be repaid.

Down payment assistance programs.

Unsecured loans or cash advances.

529 Savings Plan.

Funds contributed by a non-borrowing spouse unless documented as a gift. See Section - Gift Funds.

Reserves

> **§ 1.6.3**

Total Quality Lending loan program requires minimum reserves are outlined in the Program matrices.

Net proceeds from a cash-out transaction may be used to meet reserve requirements. See matrix for restrictions.

Reserve requirements are waived for Rate-And-Term Refinance transactions (Applies to loans under Prime Time and DSCR secured by a 1-4 unit property) when the transaction results in a reduction to the monthly principal and interest payment of 10% or greater AND housing history is 0x30x12 or better.

Waiver not eligible for DTI greater than 50%. For an Interest Only loan, the reduction is based on the amortizing payment used for loan qualification.

Reserves for a loan with an Interest Only feature are based upon the Interest Only payment amount.

For Adjustable-Rate Mortgages (ARM), the reserves are based upon the initial PITIA, not the qualifying payment.

Proceeds from a 1031 Exchange cannot be used to meet reserve requirements.

Gift funds may not be used to meet reserve requirements.

Gift Funds

> **§ 1.6.4**

Unless otherwise specified, Gift Funds are acceptable if one of the following applies:

For primary residence and second home occupancy, a minimum of 5% down payment must be made by the

borrower from their own funds.

100% Gift Funds are allowed for NON-QM Programs using Standard Doc 12- or 24- month and Alt Doc 12- or 24-

month Bank Statement loans only, with a maximum LTV of 80%. Borrower(s) must meet both reserve and

residual income requirements.

For Investment properties, a minimum of 10% down payment must be made by the borrower from their own

funds.

Eligible Donors and Documentation

> **§ 1.6.4.1**

A gift can be provided by:

A relative, defined as the borrower's spouse, child, or other dependent, or by any other individual who is

related to the borrower by blood, marriage, adoption, or legal guardianship; or

A fiance, fiancée, or domestic partner.

For any gift provided by a non-US citizen, the donor must be screened against the OFAC Specially Designated

Nationals (SDN) list. The donor may not be, or have any affiliation with, the builder, the developer, the real estate

agent, or any other interested party to the transaction.

Documentation Requirements

> **§ 1.6.4.2**

Gifts must be evidenced by a letter signed by the donor, called a gift letter. The gift letter must:

specify the dollar amount of the gift;

include the donor's statement that no repayment is expected; and

indicate the donor's name, address, telephone number, and relationship to the borrower.

When a gift from a relative or domestic partner is being pooled with the borrower's funds to make up the required

minimum cash down payment, the following items must also be included:

A certification from the donor stating that he or she has lived with the borrower for the past 12-months and will

continue to do so in the new residence.

Documents that demonstrate a history of borrower and donor shared residency. The donor's address must be

the same as the borrower's address. Examples include but are not limited to a copy of a driver's license, a bill,

or a bank statement.

Verifying Donor Availability of Funds and Transfer of Gift Funds

1.6.4.3

The seller must verify that sufficient funds to cover the gift are either in the donor's account or have been

transferred to the borrower's account and reflected on the most recent bank statement.

Acceptable documentation

includes the following:

a copy of the donor's check and the borrower's deposit slip,

a copy of the donor's withdrawal slip and the borrower's deposit slip,

a copy of the donor's check to the closing agent, or

a settlement statement showing receipt of the donor's check.

When the funds are not transferred prior to settlement, the seller must document that the donor gave the closing

agent the gift funds in the form of a certified check, a cashier's check, or other official check.

Gift funds may not be used to meet reserve requirements. Gift of Equity allowed for Primary Residence. Must meet

all other guidelines for Gift Funds.

Income

> **§ 1.7**

Income Analysis

> **§ 1.7.1**

THE FOLLOWING APPLY TO ALL INCOME DOCUMENTATION OPTIONS UNLESS OTHERWISE STATED IN THE SPECIFIC SECTION OF THE GUIDELINES.

Employment/Income Verification

> **§ 1.7.1.1**

A minimum of two (2) years of employment history for both wage/salary or self-employment, is required to be documented on the loan application (FNMA Form 1003). When the borrower has less than a two-year history of employment, the Seller should document positive factors to offset the shorter employment history, such as education or training.

Any gaps in employment that span one or more months must be explained.

Salary/Wage Earner - income derived from employment at a business. Compensation may be based upon a

salary, hourly wage, bonus, commission, or overtime.

Any borrower with a 25% or greater ownership interest in a business/entity or is paid using IRS form 1099 is considered self-employed.

The following are common business structures:

Sole proprietorship

Limited Liability Company (LLC)

Partnerships

S-Corporation

Corporation

If any borrower is no longer employed in the position disclosed on the FNMA Form 1003 at the Total Quality

Lending purchase date, Total Quality Lending will not purchase the loan.

Earnings Trends

> **§ 1.7.1.2**

When 24-months of income are analyzed for qualification, year-over-year income amounts must be compared

using the borrower's W-2 forms, signed federal income tax returns, or bank statements. The earnings trends are addressed as follows:

Stable or increasing: Defined as annual income that is equal to, greater than, or less than 20% below the

prior year's income. The income amounts will be averaged.

Declining but stable: If the 24-month earnings trend shows a decline in borrower income of 20% or more on

a year-over-year basis, but the most recent 12-month earning has stabilized and there is no reason to believe

the borrower's employment will change, the most recent 12-month average of income will be used.

Debt-to-Income (DTI) Ratio

> **§ 1.7.2**

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Total Quality Lending Program Matrix

criteria. The DTI ratio consists of two components:

The borrower's monthly debt obligations include the monthly mortgage payment for the subject loan, any

simultaneous loans secured by the subject property, monthly mortgage-related obligations (property taxes,

hazard/flood/other insurance, HOA fees, etc.), and consumer's current debts, alimony and child support

obligations.

The borrower's current monthly documented income used to qualify for the loan.

The qualifying monthly mortgage payment includes the following:

Fixed rate: Note rate amortized over the total term

Interest Only: Note rate amortized over the remaining term after the expiration of the interest-only period

ARMs: Qualifying rate is the higher of the fully indexed rate or note rate

Interest Only: Qualifying rate amortized over the remaining term after the expiration of the interest-only period

Monthly mortgage-related obligations include real estate taxes, property insurance, any other insurance, and any association dues.

Calculating Real Estate Tax Payment for subject property:

For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real

estate taxes based on the value of the land and the total of all new and existing improvements.

State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.

For refinance transactions, use the current tax assessment.

Residual Income

> **§ 1.7.3**

Residual Income is the amount of monthly income remaining once a borrower has paid all monthly debt

obligations. Residual Income = Gross Monthly Income minus Total Monthly Debt.

Residual Income Requirements:

Residual income must be calculated for Primary and Second Home transactions.

Minimum Residual Income:

DTI ≤ 50% for Primary and Second Home: Minimum residual income is \$2500.

DTI > 50 to 55% for Primary: Minimum residual income is \$3500.

\$250 is added to the minimum requirement for the first dependent and \$125 for each additional dependent. A dependent is any person other than the borrower or spouse in the household.

Documentation Options

> **§ 1.7.4**

Standard and Alt Doc income documentation options are available. In addition to wage/salary income, Standard

documentation includes various other types of income. See Section - Other Sources of Income for documentation

requirements. Income should be calculated and documented according to Total Quality Lending guidelines. If a

specific source of income is not referenced in the Total Quality Lending Guide, the Fannie Mae® guidelines for that

income source may be used.

IRS Form 4506-C

> **§ 1.7.4.1**

A signed IRS Form 4506-C is required in every standard documentation credit file.

Tax Transcripts

> **§ 1.7.4.2**

The seller may obtain Tax Return Transcripts for self-employed borrowers (Form 1040, 1065, 1120S, 1120) or

Wage and Income Transcripts for W2s, 1098s, and 1099s to validate income.

When tax return transcripts do not provide the details required to establish qualifying income, copies of the

actual tax returns, schedules, or forms will be required.

When the seller obtains tax transcripts in addition to the tax returns, tax transcripts that validate the

information on the unsigned tax returns is an acceptable alternative for the borrower's signature on the tax

return.

If the tax transcript request is returned with a code 10, or the borrower is a victim of taxpayer identification theft,

the following must be provided to validate income:

A copy of the IRS rejection with a code of "Unable to Process" or "Limitation"

Proof of identity theft, as evidenced by one (1) of the following:

Proof that the identity theft was reported to and received by the IRS (IRS Form 14039).

A copy of the notification from the IRS alerting the taxpayer to possible identity theft.

Record of Account from the IRS - Adjusted Gross Income and Taxable Income should match the borrower's personal tax return (Form 1040) for validation of prior tax year's income. Income for the current

year must be in line with prior years.

Taxpayer First Act

> **§ 1.7.4.3**

The Taxpayer First Act includes a provision that persons receiving tax return information must obtain the express

permission of taxpayers prior to disclosing that tax return information to any other person. "Tax return information"

is defined under the IRS Code, 26 U.S.C. § 6103.

Therefore, if a Seller or servicer obtains tax return information during the origination or servicing of a mortgage

loan, the Seller or servicer must obtain express consent from the taxpayer to be able to share the tax information

with another party. Such sharing would extend to actual or potential owners of the loan, such as Total Quality

Lending Mortgage Capital or any other loan participant.

To ensure compliance with the law, the Taxpayer Consent Form has been created. To comply, the Seller must

include either the Total Quality Lending version or their own version of the document in all loan files that include

tax returns.

Standard Documentation

> **§ 1.8**

The Standard Income Documentation option is available to borrowers who meet the requirements listed below.

This documentation option is available to borrowers who have experienced recent credit events

and allows for
higher LTVs for borrowers with clean payment histories.

Restrictions

> **§ 1.8.1**

See the Total Quality Lending Matrices for maximum LTV/CLTV and DTI.

A minimum credit score of 620.

A minimum two (2) year employment history is required.

Standard Income Documentation (12- or 24- Months)

> **§ 1.8.2**

Eligibility and pricing differences exist for the 12- or 24- month documentation options, see Loan/LTV Matrices and rate sheets for details.

Wage/Salary Income

> **§ 1.8.2.1**

The borrower's most recent paystubs reflecting 30 days of pay and YTD earnings, along with IRS W-2 forms

or W-2 transcripts covering the most recent one (1) or two (2) years depending upon documentation option

selected; or

Income verification provided by a FNMA approved 3rd party Vendor (e.g., The Work Number®) evidencing

income from the most recent 1 or 2 years (as applicable) along with year-to-date earnings.

FNMA WVOE Form 1005 is not eligible for standard income documentation unless used in conjunction with

documents verifying variable income. See Section - Overtime/Bonus/Commission.

When tax returns are required, as in the case of income earned from subject or non-subject investment property

REO, the most recent one (1) or two (2) years of tax returns should be provided. The definition of "most recent" is

the last return scheduled to have been filed with the IRS. Any borrower who applied for a tax return extension must

provide a copy of the extension in the credit file along with the prior one (1) or two (2) years of tax returns based

upon the documentation method selected.

Self-Employment Income

> **§ 1.8.2.2**

A minimum two (2) year history of self-employment is required.

Less than two (2) years permitted if the borrower has been employed in the same line of work and same

industry for at least two (2) years, with supporting documentation. Minimum length of self-employment is

one (1) year.

The most recent one (1) or two (2) years of tax returns (including evidence of filing). If applicable, both

personal and business (including all K-1s and schedules), signed and dated by each borrower.

Evidence of filing may include one of the following:

- IRS Form 8879 e-File Signature Authorization for the provider that prepared the return, or
- E-mail provided from the software used to prepare the return showing successful submission of the return to the IRS.

If evidence of filing is not provided, tax transcripts for personal and corporate (IRS Form 1120) returns are required.

In lieu of tax returns, tax transcripts for the most recent one (1) or two (2) years may be provided as

applicable. In certain cases, tax returns will be required as transcripts will not provide the details required to

establish eligible qualifying income for the borrower.

If the borrower pays themselves wage income, a YTD paystub must be included in the file.

When analyzing tax returns, the following may be added back to the applicant's income calculation:

Depreciation

Depletion

Business use of home

Amortization/casualty loss

Ordinary income (loss) from other partnerships

Nonrecurring other (income) loss

Any expense(s) that can reasonably be documented to be one-time and non-recurring

Net operating loss carryforwards from years prior to the tax returns provided

If the tax return date exceeds 120 days from the note date, a YTD Profit and Loss Statement (P&L), signed

and dated by the borrower, up to and including the most recent month preceding the loan application date.

The P&L may be either: prepared by a 3rd party or prepared by the borrower. If a gap exists

between the tax return ending date and the start date of the YTD P&L, a gap-year P&L is also required. The qualifying income is determined from the tax returns; the P&L is used to determine the stability of that income.

Employment Status

> **§ 1.8.3**

In all cases, the borrower's current employment status is required. Employment status can be established as follows:

Wage/salary borrowers:

A YTD paystub dated within 30 days of Note date; or verbal VOE dated no more than 10 calendar days

prior to Note date. Sellers may use any type of verification form. The VOE should include the following

data:

- Borrower name
- Loan ID number
- Current position
- Verification that borrower's employment is currently active
- Employer name/company name
- Employer contact name and title
- Name of individual who completed the VOE
- Business phone number must be independently verified; or

A verification via e-mail exchange with the borrower's current employer dated no more than 10 calendar

days prior to Note date. Due diligence must be conducted to confirm the e-mail address for the employer

is accurate. The VOE should include the following data:

- Work e-mail address of the individual contacted at the employer
- Borrower name
- Current position
- Current employment status

Self-Employed Borrowers:

Existence of the borrower's business is to be verified within 90 days prior to the Note date, through one of

the following:

- Third party verification from licensed tax preparer, regulatory agency, or applicable licensing bureau,

or

- Internet screenshot displaying the phone listing and address verification of the borrower's business,

or

- A business bank statement dated within 90 days of the Note date for income used in qualification

Other Sources of Income

> **§ 1.8.4**

Alimony or Child Support

> **§ 1.8.4.1**

Alimony or child support income is allowed with third-party documentation evidencing receipt of at least six (6)

months. Document the support will continue for at least three (3) years by one of the following:

Alimony:

Copy of final divorce decree or final separation agreement describing the payment terms.

Any other type of written legal agreement or court decree describing the payment terms.

Child support:

Copy of final divorce decree or final separation agreement describing the payment terms.

Any other type of written legal agreement or court decree describing the payment terms.

The full amount of qualifying child support income may be treated as nontaxable and grossed up at 25% without

supporting documentation verifying the nontaxable status.

Auto Allowance

> **§ 1.8.4.2**

The borrower must have received payments for at least two (2) years. Add the full amount of the allowance to

monthly income and the full amount of the lease or financing expenditure to the monthly debt obligations.

Capital Gains

> **§ 1.8.4.3**

Capital Gains income must be averaged over two (2) years and documented with the following:

Most recent two (2) years of personal tax returns, including an IRS Form 1040, Schedule D.

Third-party documentation to evidence that additional assets may be sold to support qualifying income.

Third-party documentation must evidence capital gains income will continue for a minimum of

three (3) years.

Capital losses do not have to be considered.

Disability Income - Long Term

> **§ 1.8.4.4**

Generally, long-term disability will not have a defined expiration date and should be expected to continue. Obtain a

copy of the borrower's disability policy or benefits statement to verify the following:

Eligibility for the benefits,

Amount and frequency of payments, current proof of receipt, and

If there is a contractually established termination or modification date.

Employed by a Relative

> **§ 1.8.4.5**

Income for borrowers who are employed by a relative must be verified using Standard

Documentation for two

years, including the following:

Federal income tax returns for the most recent two (2) years.

W-2s for the most recent two (2) years.

Paystub(s) covering the most recent 30-day period.

Clarification of the potential ownership of family-owned businesses by the borrowers may also be required. A

borrower may be an officer of a family-operated business, but not an owner. Verification of a borrower's status

should be provided by written confirmation obtained from a CPA or legal counsel.

Employment Offers or Contracts

> **§ 1.8.4.6**

For borrower(s) starting new employment, the loan file must contain a copy of an executed offer or contract plus

the first paystub. The first paystub must be dated prior to the Note date. The offer or contract cannot be for

employment by a family member or interested party to the transaction.

Foreign Income

> **§ 1.8.4.7**

Foreign income is income earned by a borrower (US Citizen or Perm Resident Alien) who is employed by a foreign

corporation or a foreign government and is paid in foreign currency. Borrowers may use foreign income to qualify if

they provide copies of the following:

Signed federal income tax returns or transcripts for the most recent two (2) years that include foreign income.

Standard documentation requirements based upon the source and type of income.

Foster Care Income

> **§ 1.8.4.8**

Income received from a state or county sponsored organization for providing temporary care for one or more

children may be considered acceptable stable income if the following requirements are met:

Verify the foster-care income with letters of verification from the organizations providing the income.

Documentation verifying the borrower has received foster care income for a minimum one-year period.

Qualifying income is based upon the current amount received.

Housing/Parsonage Income

> **§ 1.8.4.9**

Housing or parsonage income may be considered qualifying income if there is documentation that the income has

been received for the most recent 24-months and the allowance is likely to continue for the next three (3) years.

The following documentation is required:

The two (2) most recent years of tax returns are required.

Written documentation, such as a Written Verification of Employment (WVOE) provided by the church, must

be obtained.

The housing allowance, although not subject to federal income taxes, is subject to self-employment taxes.

Gross income on Schedule SE of the borrower's IRS Form 1040 should include the housing allowance paid.

The housing allowance may be added to income but may not be used to offset the monthly housing payment.

Interest/Dividends

> **§ 1.8.4.10**

Verify the borrower's ownership of the assets on which the interest or dividend income was earned. Documentation

of asset ownership must be in compliance with the Asset Documentation requirements.

NON-TAXABLE INCOME

> **§ 1.8.4.11**

If the income is verified to be nontaxable, and the income and its tax-exempt status are likely to continue, the seller may develop an "adjusted gross income" for the borrower by adding an amount equivalent to 25% of the nontaxable income to the borrower's income.
Child support income: The full amount of qualifying child support income may be treated as nontaxable and grossed up at 25% without supporting documentation verifying the nontaxable status.
Social Security income: Income may be grossed up at 15% without documentation verifying the nontaxable status.

NOTES RECEIVABLE INCOME

> **§ 1.8.4.12**

Note receivable income may be used for qualifying income subject to the following:
Verify that the income can be expected to continue for a minimum of three (3) years from the date of the mortgage application.
Obtain a copy of the Note to establish the amount and length of payment.
Document regular receipt of income for the most recent 12-months using either cancelled checks, bank statements, or federal tax returns.
Payments on a Note executed within the past 12-months, regardless of the duration, may not be used as stable income.

PENSION, RETIREMENT, ANNUITY

> **§ 1.8.4.13**

The following provides verification requirements for pension, retirement, and annuity income.
Document regular and continued receipt of the income with one of the following:
Statement from the organization providing the income, or
Retirement award letter or benefit statement, or
One (1) month financial or bank account statement evidencing the source/deposit, or
Signed federal income tax return, or
IRS W-2 form, or
IRS 1099 form

In addition to the above, if retirement income is paid in the form of a distribution from a 401(k), IRA, or Keogh retirement account, then provide all of the following:
Account Statement(s) reflecting available balance for withdrawals evidencing three (3) year continuance, and
Borrower must have unrestricted access to the accounts without penalty

RENTAL INCOME

> **§ 1.8.4.14**

Rental income may be used for qualifying income subject to the following documentation requirements:
Rental income from other properties must be documented with the borrower's most recent signed federal income tax return that includes Schedule E. Leases are required for properties where rental income is being used to qualify and the property was acquired during or subsequent to the most recent tax filing year or the rental property was out of service for an extended period. For commercial properties a copy of the lease or rent roll is required.
Proposed rental income from the comparable rent schedule, reflecting long term rental rates, may be used for qualifying if there is not a current lease or assignment of lease on purchase of an investment property.
Properties with expired leases that have converted to month to month per the terms of the lease will require bank statements for the lesser of 2 months or the time period after the lease expired.
If using a lease agreement, a 25% vacancy factor must be applied to the gross rent used for qualifying.
Multiply the gross rent by 75% and subtract the PITIA to arrive at the rental income/loss used for qualifying.
Commercial properties owned on schedule E must be documented with a rent roll and evidence that the primary use and zoning of the property is commercial.

Short Term Rental - Purchase Transactions

> **§ 1.8.4.15**

Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property.
Any of the following methods may be used to determine gross monthly rental income:

Short term rental (STR) analysis form or 1007/1025 may be used. The analysis must include the following:

- Provide the source of the data used to complete the STR analysis.
 - Include comparable STR properties, focusing on room count, gross living area (GLA), location, and market appeal.
 - Include daily rental rate and occupancy percentage. Factor seasonality and vacancy into the analysis.
 - Must be completed by a licensed appraiser.
- AIRDNA (www.Airdna.co) Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental Data, must meet the following requirements:
- Only allowed for purchase transaction.
 - Gross rents equal the revenue projection from the Property Earning Potential Report less the 20% extraordinary expense factor.
 - Revenue projection equals the average daily rental rate times the occupancy rate.
 - Forecast period must cover 12-months and dated 90-days within the Note date. Maximum occupancy limited to 2 individual per bedroom.
 - Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy .
 - Market Score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.

Short Term Rental - Refinance Transactions

> **§ 1.8.4.16**

Rental income must be documented with the borrower's most recent signed federal income tax return that includes Schedule E.

Application of Rental Income

> **§ 1.8.4.17**

* Primary Residence

> **§ 1.8.4.17.1**

The monthly qualifying rental income (as defined above) must be added to the borrower's total monthly income. (The income is not netted against the PITIA of the property.)

The full amount of the mortgage payment (PITIA) must be included in the borrower's total monthly obligations when calculating the debt-to-income ratio.

* Investment Property

> **§ 1.8.4.17.2**

If the aggregate monthly qualifying rental income (as defined above) minus the full PITIA is positive, it must be added to the borrower's total monthly income.

If the aggregate monthly qualifying rental income minus PITIA is negative, the monthly net rental loss

must be added to the borrower's total monthly obligations.

The full PITIA for the rental property is factored into the amount of the net rental income (or loss);

therefore, it should not be counted as a monthly obligation.

The full monthly payment for the borrower's principal residence (full PITIA or monthly rent) must be

counted as a monthly obligation.

RESTRICTED STOCK UNITS

> **§ 1.8.4.18**

Restricted stock units (RSUs) are issued to an employee through a vesting plan and distribution schedule. RSUs

give an employee interest in company stock but have no tangible value until vesting is complete. The RSUs are

assigned a fair market value when they vest and are considered ordinal income with a portion of the shares

withheld to pay income taxes upon vesting. The employee receives the remaining shares and can sell them at

their discretion.

Restricted stock options may be used as qualifying income when all the following requirements are met:

Income has been consistently received for the prior two (2) years and is verified it will continue for three (3) years.

RSU income is calculated using the past two (2) year average.

If the RSU income is declining, proof of stability must be provided, and the most conservative average used

for qualifying.

Borrowers must be employed at the same company that issued the RSUs.

Employer must be a publicly traded entity (e.g., a Fortune 500 company).

Non-vested restricted stock is not an acceptable source of income or reserves.
Vested RSUs may not be considered as qualifying income if they are also used for down payment, closing costs, and/or reserves.
The following documentation is required:
Evidence that stock is publicly traded.
The most recent vesting schedule or issuance agreement showing continuance of RSU income.
Evidence of the payouts of RSUs for the past two (2) years. Acceptable verification includes any of the following:
Tax returns for the last two (2) years, reflecting RSU income.
Year-end paystubs reflecting the RSU payout.
An employer-provided statement paired with a brokerage or bank statement, showing the transfer of shares or funds, that includes the (a) date of the payout and (b) the number of vested shares and their cash equivalent distributed to the borrower.

ROYALTY INCOME

> **§ 1.8.4.19**

Obtain copies of the following:
Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income.
The borrower's most recently signed federal income tax return, including IRS Form 1040 and Schedule E.
Confirm that the borrower has received royalty payments for at least 12-months and that the payments will continue for a minimum of three (3) years after the date of the mortgage Note.

SOCIAL SECURITY

> **§ 1.8.4.20**

Social Security income for retirement that the borrower is drawing from their own account/work record will not have a defined expiration date and can be expected to continue.
Social Security income based on another person's account/work record or from the borrower's own work record, but for the benefit of another (such as a dependent) may also be used in qualifying, provided the seller documents a 3-year continuance.
Social Security income may be grossed up, see Section - Non-Taxable Income.
Borrower is drawing Social Security benefits from own account/work record, provide one of the following:

Most recent SSA Award Letter, or
Most recent SSA-1099, or
Proof of current receipt, or
Most recent signed federal income tax return (or tax transcript) if filed by all borrowers on the loan
Borrower is drawing Social Security benefits from another person's account/work record or from their own account/work record for the benefit of another, provide all of the following:

Most recent SSA Award Letter,
Proof of current receipt, and
Proof of three year continuance
Survivor Benefits, provide all of the following:

Most recent SSA Award Letter,
Proof of current receipt, and
Proof of three year continuance
Supplement Social Security Income (SSI), provide all of the following:
Most recent SSA Award letter, and
Proof of current receipt

TEACHER INCOME

> **§ 1.8.4.21**

Teachers are paid on a 9-month, 10-month, or 12-month basis. The pay structure should be determined before calculating the monthly income. If unable to determine the pay frequency, documentation such as a copy of their contract or documents from the school district's personnel office may be required.

TIP INCOME

> **§ 1.8.4.22**

Tips and gratuity income may be considered if the receipt of such income is typical for the borrower's occupation (i.e., waitperson, taxi driver, etc.). Tip income should be received for at least two (2) years. Documentation will be based upon the documentation type selected (12- or 24- months). Obtain one (1) or two years of federal income tax returns along with a year-to-date paystub. Income should be averaged over the

time-period verified. If the tip income is not reported on the paystubs or tax returns, then it may not be included in qualifying income.

TRUST INCOME

> **§ 1.8.4.23**

Confirm the trust income by obtaining a copy of the trust agreement or the trustee's statement confirming the

amount, frequency, and duration of payments:

Trust verification documentation must clearly identify the date the trust was created.

Trustee statement evidencing borrower is a beneficiary and income will continue for three (3) years.

Trust verification documentation to include a letter from an accountant or attorney who has reviewed the

trust's documentation when one of the following applies:

Trustee's statement or other documents are not available, or

Borrower is trustee

Variable trust income: Use an average over the length of time per the doc type selected.

When variable trust income has been received for less than 24 months, but not less than 12 months, it may

be considered as stable income with compensating factors.

Fixed trust income: Use the fixed payment as documented.

If the borrower creates the trust as trustee, the assets within the trust must be verified with 3rd party

documentation (i.e., bank statements).

Unless this income is received monthly, documentation of current receipt of the income is not required if the

income is on the borrower's most recent tax return.

UNEMPLOYMENT BENEFIT INCOME

> **§ 1.8.4.24**

Income derived from unemployment compensation is generally not allowed due to the limited duration of its

receipt. Seasonal unemployment, however, can be considered if the borrower is employed in a field where weather

affects the ability to work, and where unemployment compensation is often received (i.e., construction). The

income can be used to qualify with a two-year employment history in the same field of work and a two-year history

of receipt of unemployment compensation. Income should be averaged over the time-period verified.

VA BENEFITS

> **§ 1.8.4.25**

Document the borrower's receipt of Veteran Administration (VA) benefits with one of the following:

Award letter, or

Distribution form from the VA

Verify that the income can be expected to continue for a minimum of three (3) years from the date of the

mortgage Note. (Verification is not required for VA retirement or long-term disability benefits.)

Education benefits are not acceptable income because they are offset by education expenses.

VARIABLE - OVERTIME/BONUS/COMMISSION

> **§ 1.8.4.26**

Variable income sources are eligible provided the borrower has a minimum one (1) or two (2) years history of

receiving such income in the same line of work, based on the documentation type. Variable income earned for less

than one (1) year may not be used for qualifying income.

Variable income is to be calculated by using an averaging method consistent with the documentation provided.

Averaging method must take into account the borrower's history of receipt, the frequency of payment, and the

trending of the amount of income being received.

Most recent year-to-date pay stub reflecting the variable earnings, and

Most recent W-2 form(s), and

Documentation verifying break-down of prior year(s) earnings with one of the following:

Previous year-end paystub, or

Completed Written Verification of Employment - FNMA Form 1005, or

Third party vendor (e.g., The Work Number)

INELIGIBLE INCOME SOURCES

> **§ 1.8.4.27**

Boarder income

Educational benefits

Gambling winnings

Cannabis (see below)

Mortgage Credit Certificates
Mortgage Differential Payments
Refunds of federal, state, or local taxes
Guidelines for income derived from cannabis

> **§ 1.8.4.28**

Income from borrowers who are wage earners in the industry are allowed.
Self-employed income (active or passive) derived from a company involved in cultivation, transportation, retailing, etc. is not allowed regardless of percentage of company ownership.

AUS FINDINGS

> **§ 1.8.4.29**

Income documentation relief from Fannie Mae DU or Freddie Mac LPA is considered Standard Doc and is

acceptable under the TQL Programs, subject to the following:

Final AUS findings must be included in the loanfile for one of the following:

Fannie Mae: DU Approve/Eligible

Freddie Mac: LPA Accept/Eligible

Fannie Mae DU Approve/Ineligible or Freddie Mac LPA Accept/Ineligible allowed for the following:

Loan amount, interest only, prepayment penalty, number of financed properties, credit score < 720 when

borrower has 7 financed properties, refinances exceeding 75% LTV subject to Total Quality Lending

program max

Caution or Refer with Caution not allowed

Appraisal must follow the requirements for TQL Programs

Appraisal waiver option from DU or LPA findings not eligible

ALT DOC - BANK STATEMENTS

> **§ 1.8.5**

Personal bank statements or business bank statements may be used to document self-employment income. Bank

statements held in a foreign bank with U.S. branches insured by the FDIC are acceptable.

Bank statements may be obtained from the borrower, or the Seller can use a third-party asset vendor participating

in the Fannie Mae Day 1 Certainty® process.

RESTRICTIONS - APPLIES TO PERSONAL/BUSINESS BANK

STATEMENTS

> **§ 1.8.5.1**

See the Total Quality Lending Matrices for maximum LTV and DTI.

Borrowers must be self-employed for at least two (2) years. The employment section of the URLA must be

completed with a minimum of two (2) years self-employment history.

If nature of borrower's business cannot be determined from the URLA, a business narrative may be provided

by the borrower, see Business Narrative Form.

The business being used to source income must be in existence for a minimum of two (2) years as evidenced

by one of the following:

CPA Letter, or

Business License, or

Bank statement from 24 or more months prior to note date reflecting activity, or

Other reasonable evidence of business activity.

Minimum credit score is 620.

Nonprofit Entity not eligible.

Income and expense documentation must be prepared or validated by an acceptable 3rd party source with

knowledge of the borrower's business.

Funds/Deposits in a IOLTA (Trust) ineligible source.

Tax returns and 4506-C are not required for the bank statement program.

Alt Doc income may be combined with other income sources that are documented as Standard Doc but not

associated with self-employment, such as wage income from spouse or domestic partner. When wage income

is combined with Alt Doc, a tax return is not required for the standard full income documentation. If the

4506-C form is provided, Box 8 should be checked to obtain a transcript of W-2 earnings.

BANK STATEMENT OPTIONS/INCOME ANALYSIS

> **§ 1.8.5.2**

In addition to the factors described in the Section - Income Analysis section of this guide, Sellers should consider

the following:

Deposits should be reviewed for consistency.

Deposits from alternative payment processing applications (i.e., Square, Venmo) are eligible.

Inconsistent or large deposits should be sourced or excluded from the analysis. The definition of an

inconsistent or large deposit is any deposit exceeding 100% of the average monthly sales of the business.

Changes in deposit pattern must be explained.

Income documented separately, but included as deposits in the statement under review, must be backed out

of deposits.

Ineligible Deposits: IRS refunds, other refunds, reversals/adjustments, loans, credit card advances, other

non-business related income (e.g., SSI, pension).

PERSONAL BANK STATEMENT REVIEW

> **§ 1.8.5.3**

A personal bank account is held in the individual borrower(s) name. The following documentation requirements

and analysis methods apply:

Documentation Requirements

12- or 24- months of consecutive PERSONAL bank statements, the most recent statement dated within

120- days of the note date.

Most recent two (2) months of BUSINESS bank statements.

Verify that the borrower owns 20% of the business by providing one of the following:

- CPA letter, Tax Preparer letter, operating agreement, or equivalent, reflecting the borrower's ownership percentage.

Calculation Method

Only transfers or deposits from the business account(s) are eligible deposits. Qualifying income calculated using the sum of the total eligible deposits from the statements reviewed divided by the

number of statements. The most recent bank statement must be consistent with the qualifying income.

If the personal account is jointly owned, and the joint owner is not an owner of the business, deposits that

are not readily identifiable as transfers from the business accounts or business deposits must be

excluded unless sourced.

ATM deposits may be included if a consistent pattern of such deposits is present.

Two (2) months of business bank statements, which must:

- Evidence activity to support business operations.

- Reflect transfers to the personal account.

BUSINESS AND CO-MINGLED BANK STATEMENT REVIEW

> **§ 1.8.5.4**

A business bank statement used for ongoing operations of the business must reflect the name of the business as

completed on the URLA or loan application.

Verify that the borrower has ownership of at least 25% of the business by providing one of the following:

CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership

percentage.

Net income from the analysis of the bank statements is multiplied by the borrower's ownership percentage to

determine the borrower's qualifying income.

A co-mingled bank statement is a personal account used by a borrower for both business and personal use. A

separate business account is not required.

Verify that the borrower has 100% ownership of the business by providing one of the following:

CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership

percentage.

The borrower must be the sole owner of the business listed on the URLA or loan application.

Borrower and

spouse with combined 100% ownership of the account are eligible.

Standard Expense Ratio - 50% (10/21/2024)

> **§ 1.8.5.5**

Documentation Requirements

A standard 50% expense factor will be applied to the total of eligible deposits.

12- or 24- months of consecutive business bank statements, the most recent statement dated within 120

days of the note date.

If the business operates more efficiently or typically has a materially different expense factor (higher or

lower than standard expense factor), then an expense factor from a CPA/accountant, IRS Enrolled Agent,

tax preparer or P&L may be used to determine qualifying income.

Income Calculation Method

Total deposits from all bank statements, less any inconsistent deposit(s), multiplied by 50%, multiplied by ownership percentage, divided by the number of bank statements reviewed.

$\text{Deposits} \times (.50) \times (\text{ownership \%}) / 24 \text{ or } 12 = \text{qualifying income}$

Example: $\$360,000 \times .50 = \$180,000 \times 1.00 = \$180,000 / 12 = \$15,000$

3rd Party Prepared Business Expense Statement Letter

> **§ 1.8.5.6**

Documentation Requirements

12- or 24- months of consecutive business bank statements, the most recent statement dated within 120-

days of the note date and;

Business expense statement letter to include:

- Name of the business
- Business expenses as a percentage of the gross annual sales/revenue
- Prepared or reviewed by a 3rd party with knowledge of the business (e.g., CPA/accountant, IRS Enrolled Agent, or tax preparer)
- Signed by the 3rd party preparer/reviewer

Income Calculation Method

Total expenses are calculated by multiplying the total deposits by the expense factor provided (subject to

a minimum total expense percentage of 10%), multiplied by ownership percentage, divided by the number

of bank statements.

$\text{Deposits} \times (\text{expense ratio}) \times (\text{ownership \%}) / 24 \text{ or } 12 = \text{qualifying income.}$

Example: $\$360,000 \times .75 = \$270,000 \times .50 = \$135,000 / 12 = \$11,250$

3rd Party Prepared P&L Statement

> **§ 1.8.5.7**

Documentation Requirements

12- or 24- months of consecutive business bank statements, the most recent statement dated within 120-

days of the note date and;

P&L covering 12- or 24- months (determined by the months of bank statements provided)

Prepared or reviewed and acknowledged by a CPA/accountant, IRS Enrolled Agent, or tax preparer.

Documentation is required to evidence the preparer's business.

Signed by the 3rd party preparer/reviewer

Income Calculation Method

P&L Sales/Revenue must be supported by the provided bank statements. Total deposits reflected on the

bank statements, minus any inconsistent deposits, must be greater than or no more than 20% below the

sales/revenue reflected on the P&L. The bank statements and P&L must cover the same time period. If

the deposits support the sales, qualifying income is the lower of:

- The Net Income indicated on the P&L divided by the number of statements (24 or 12), or
- Total deposits reported on the bank statements, minus any inconsistent deposits, divided by the number of statements (12 or 24).

When analyzing the P&L Statement, the following may be added back to the applicant's income calculation:

- Depreciation
- Depletion
- Amortization/casualty loss

NON-SUFFICIENT FUNDS

> **§ 1.8.5.8**

Non-sufficient funds (NSF) reflected on the bank statement(s) must be included in the income analysis. Multiple

instances on the same day will be treated as one NSF occurrence.

One NSF occurrence is defined as any of the following on the same day:

Transaction is reversed or declined.

Transaction results in a negative balance.

Transaction is designated as an NSF by the bank.

Transaction includes overdraft protection fees that are not associated with a pre-arranged link to a savings

account or line of credit.

Overdraft protection fees associated with a pre-arranged link to a savings account or line of credit are acceptable,

as follows:

Overdraft Protection from a Depository Account: Occurrences may be excluded if statements for the linked

account confirm that (a) the linked account balance at the time of the transfer exceeded the amount of the

overdraft transfer, and (b) the linked account's balance did not report as zero or negative at any point during the

statement period of the transfer, and (c) the linked account did not itself receive overdraft

protection proceeds

during the statement period of the transfer.

Overdraft Protection from a Line of credit: Occurrences may be excluded if statements for the linked account

confirm that (a) the line's credit limit was not exceeded during the statement period of the transfer, and (b) a

payment amount which equals or exceeds the sum of all overdraft protection occurrences analyzed in the

statement period is made within 30 days after the statement close date.

Restrictions for NSF Occurrences:

If there are one (1) or more occurrences in the most recent three-month time period, up to three (3) occurrences

are allowed in the most recent 12-month time period.

If there are zero (0) occurrences in the most recent three-month time period, up to five (5) occurrences in the

most recent 12-month time period are acceptable.

ALT DOC - RENTAL INCOME

> **§ 1.8.6**

Rental income may be included in loan qualification for Alt Doc income types, to be considered the following

documentation must be provided:

Long Term Rental

> **§ 1.8.6.1**

A copy of the lease(s) for the rental property.

Must provide two (2) months of proof of the receipt of rental income. The deposits must be to a separate bank

account. Any deposits in the business bank statements used in the business income analysis are not eligible.

75% of the verified monthly rental income can be used to offset the PITIA of the rental property.

If the deposits cannot be validated in a separate account, the full PITIA of the rental unit must be included in

the qualifying DTI ratio.

If the transaction type is a purchase of an investment property, and income from the subject property is

considered in the underwriting, proposed rental income from the comparable rent schedule, reflecting long

term rental rates, may be used for qualifying if there is not a current lease or assignment of lease.

Short Term Rental - Purchase Transactions

> **§ 1.8.6.2**

Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated

with operating short-term rental property compared to non-short-term property.

Any of the following methods may be used to determine gross monthly rental income:

Short term rental (STR) analysis form or 1007/1025 may be used. The analysis must include the following:

- Provide the source of the data used to complete the STR analysis.

- Include comparable STR properties, focusing on room count, gross living area (GLA), location, and market appeal.

- Include daily rental rate and occupancy percentage. Factor seasonality and vacancy into the analysis.

- Must be completed by a licensed appraiser.

AIRDNA (www.Airdna.co) Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental Data, must meet the following requirements:

- Only allowed for purchase transaction.

- Gross rents equal the revenue projection from the Property Earning Potential Report less the 20%

extraordinary expense factor.

- Revenue projection equals the average daily rental rate times the occupancy rate.

- Forecast period must cover 12-months and dated 90-days within the Note date.

- Maximum occupancy limited to 2 individual per bedroom.

- Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy.

- Market score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.

Short Term Rental - Refinance Transactions

> **§ 1.8.6.3**

Property leased on a short-term basis utilizing an on-line service such as Airbnb gross monthly rents can be

determined by using a 12-month look back period to account for seasonality.

Rents for the look back period must be documented with either 12-monthly statements or an annual

statement provided by the on-line service. In the event the borrower owns a single rental property, bank statements with deposits clearly identified/sourced as rental income can be substituted. If two or more rental properties owned, statements from an online service must be provided to associate rents received with the specific property.

80% of the verified monthly rental income can be used to offset the PITIA of the rental property.

Application of Rental Income

> **§ 1.8.7**

Primary Residence:

The monthly qualifying rental income (as defined above) must be added to the borrower's total monthly income. (The income is not netted against the PITIA of the property.)

The full amount of the mortgage payment (PITIA) must be included in the borrower's total monthly obligations when calculating the debt-to-income ratio.

Investment Property:

If the aggregate monthly qualifying rental income (as defined above) minus the full PITIA is positive, it

must be added to the borrower's total monthly income.

If the aggregate monthly qualifying rental income minus PITIA is negative, the monthly net rental loss

must be added to the borrower's total monthly obligations.

The full PITIA for the rental property is factored into the amount of the net rental income (or loss);

therefore, it should not be counted as a monthly obligation.

The full monthly payment for the borrower's principal residence (full PITIA or monthly rent) must be

counted as a monthly obligation.

ALT DOC - PROFIT & LOSS STATEMENT ONLY

> **§ 1.8.8**

Permitted for self-employed borrowers with a minimum of 25% ownership of the business. The Profit &

Loss Statement (P&L) must be prepared by one of the following individuals with knowledge of the business sufficient to prepare a P&L Statement: Third party Certified Public Accountant (CPA), an IRS

Enrolled Agent (EA), a CTEC registered tax preparer, or a Tax Attorney. PTIN is not allowed.

- Borrowers must be self-employed for at least two (2) years. The employment section of the URLA must be completed with a minimum of two (2) years self-employment history.

- Required documentation:

- 12- or 24- month CPA, EA, CTEC, or Tax Attorney prepared P&L Statement representing total business sales and expenses for the time period covered by the P&L Statement.

- Preparer to provide a signed document with all of the following:

- Confirmation business has been in existence for a minimum of two (2) years

- Indicate borrower's ownership percentage of the business

- Confirmation the preparer completed or filed the most recent business tax return

- Current/active license or certification for the preparer:

- State CPA license number as verified by license or screenshot from state licensing authority

- IRS Enrolled Agent (EA) certification from IRS (e.g., screenshot of IRS web site)

- CTEC certification from California (e.g., screenshot of CTEC web site)

- State Attorney license number as verified by license or screenshot from state licensing authority

Qualifying Income

Net income from the P&L Statement divided by the time period covered (12- or 24- months) multiplied by

the borrower's ownership percentage.

Expenses on the P&L must be reasonable for the industry, Verus reserves the right to request additional information.

The following may be added back to the qualifying income calculation:

Depreciation

Depletion

Amortization/Casualty Loss

Restrictions

P&L Statement reviewed or prepared by a PTIN not allowed.

Ineligible: Nonprofit or Not-For-Profit business.

Verus reserves the right to request additional documentation when a Third party Certified Public Accountant (CPA), IRS Enrolled Agent (EA), CTEC registered tax preparer, or Tax Attorney prepares P&L

Statements for multiple borrowers.

P&L Statement is ineligible when completed by an employee of the seller or completed by any parties with

a vested interest in the subject property or mortgage transaction.

ALT DOC - IRS FORM 1099

> **§ 1.8.9**

Permitted for self-employed borrowers earning 100% commission or for independent contractors, documented as follows:

1099(s) issued to the borrower as an individual, or

1099(s) issued to the borrower's LLC subject to the following:

Business Narrative Form must be completed by the borrower, and

Third Party documentation is required verifying borrower is 100% owner of the business, and

Third Party prepared business expense statement letter is required verifying the expense factor is

10% or less. Business expense statement letter to include:

- Name of the business.

- Business expenses as a percentage of the gross annual sales/revenue.

- Prepared or reviewed by a Third party with knowledge of the business (e.g.,

CPA/accountant, IRS Enrolled Agent, or tax preparer).

- Signed by the Third party preparer/reviewer.

Requirements

1-year or 2-years of 1099s or 1099 transcripts permitted.

A minimum 2-year self-employment history is required (e.g., 1099 income) as documented from the Employment section of the loan application.

Utilize one of the following business expense analysis methods:

10% expense factor (90% Net Margin), or

Lower expense factor may be used when verified on Third Party prepared business expense statement letter (e.g., CPA, EA, accountant, tax preparer).

Qualifying income is the 12- or 24- monthly average from the total number of 1099's minus the expense

factor from the method chosen above.

YTD earnings must be documented when the 1099 reporting period is greater than 120 days from the Note

date. YTD earnings must support the ongoing receipt of income shown on the 1099s by:

Checks or a single check stub(s) with YTD totals if available, or

Bank statements (YTD).

- The YTD earnings from the total of check stubs or the tally of deposits from bank statements must be within 10% or greater than earnings used for qualification.

The Alt Doc Loan/LTV matrix should be utilized, see the Product Matrices.

ALT DOC - WRITTEN VERIFICATION OF EMPLOYMENT

> **§ 1.8.10**

A written Verification of Employment (WVOE) may be utilized when documenting wages/salary income. The

following criteria applies:

Two year history with the same employer is required.

Completed FNMA Form 1005

Minimum credit score: 680

Primary Residence, Second Home, and Investment allowed.

Paystubs, Tax Returns, 4506-C, or W-2's not required.

Eligible for TQL Ascend Alt-A

See Loan/LTV matrix for restrictions.

Must be completed by Human Resource, Payroll Department or Officer of the Company.

Two (2) Months Personal Bank Statements required to support the WVOE. The bank statements must reflect

deposits from the employer supporting at least 65% of gross wage/salary reflected on the WVOE.

First Time Homebuyer maximum LTV 70%, no gift funds allowed.

Borrower(s) employed by family members or related individuals are not eligible.

An internet search of the business is required with documentation to be included in the credit file to support

the existence of the business.

Other sources of income, documented using Alt Doc, are eligible and can be used to determine total

household qualifying income.

For the borrower utilizing the WVOE, no other active employment income may be utilized, passive income

such as rental income can be included.

ALT DOC - ASSET UTILIZATION

> **§ 1.8.11**

Asset Utilization may be used as the sole source of income for loan qualification or to supplement other income

sources. When used to supplement other income sources, the minimum asset requirements under the qualification

method is waived.

RESTRICTIONS

> **§ 1.8.11.1**

Minimum credit score: 680

See Total Quality Lending Matrices for max LTV

See Total Quality Lending Matrices for max DTI

DTI limits:

First time homebuyer (FTHB): 50%

Less than 12-month housing history: 50%

Asset Utilization Qualifying Method

> **§ 1.8.11.2**

Gift funds not eligible

Assets from non-occupant co-borrowers not allowed

Debt Ratio Calculation: Minimum Eligible Assets required is the lower of \$1,000,000 or 150% of the loan balance.

Qualifying income based upon Total Assets Eligible for Depletion, less down payment, less out of pocket closing

costs, less required reserves, divided by 84.

Asset Utilization Income Documentation

> **§ 1.8.11.3**

Required documentation consists of the following:

All individuals listed on the asset account(s) must be on the Note and Mortgage.

Assets considered for this program must be verified with most recent three (3) months account statements,

quarterly statement, or a VOD.

Assets must be seasoned 90 days.

Assets Eligible for Depletion

> **§ 1.8.11.4**

Assets must be liquid and available with no penalty; additional documentation may be requested to validate the

origin of the funds:

100% of Checking, Savings, Money Market Accounts, and US Treasuries with maturity < 1-year.

100% of the cash surrender value of life insurance less any loans may be considered for assets.

70% of Stocks, Bonds, and Mutual Funds.

70% of Retirement Assets : Eligible if the borrower is of retirement age (at least 59 ½).

60% of Retirement Assets: Eligible if the borrower is not of retirement age.

Trust Assets:

Apply appropriate percentages for the assets held as noted above.

Trustee statement or trust agreement must be provided verifying terms of the trust for the following:

Assets held in a revocable trust where the trustee to the trust is the borrower.

Assets in an irrevocable trust where the borrower is the beneficiary, and the borrower has immediate

access to the assets of the trust.

Net Proceeds From Sale of Real Estate:

Final settlement stating verifying net proceeds.

Proof that net proceeds were deposited into bank account(s) used for the Asset Utilization calculation.

Assets Ineligible for Depletion

> **§ 1.8.11.5**

Equity in Real Estate;

Privately traded or restricted/non-vested stocks;

Any asset which produces income already included in the income calculation:

Any assets held in the name of a business;

Assets held in an irrevocable trust where the beneficiary of the trust is not the borrower;(Cont below)

Assets held in a charitable giving trust, donor advised fund, or similar entity where the intended beneficiary is

not the borrower.

Debt Service Coverage Ratio (DSCR)

> **§ 1.8.11.6**

Debt Service Coverage Ratio transactions are available to experienced investors purchasing or refinancing

investment properties for business purposes. The typical borrower is expected to have a history of managing

income-producing rental properties or has a significant equity down payment in a purchase transaction. The

borrower is required to execute a Borrower Certification of Business Purpose and an Occupancy Certification.

For examples of these forms, see the following links: Borrower Certification of Business Purpose | Occupancy

Certification.

Borrower/Guarantor Experience

> **§ 1.8.12**

Experienced Investor

> **§ 1.8.12.1**

An experienced residential investor is a borrower/guarantor having a history of owning and managing non-owner

occupied residential real estate for at least one (1) year in the last three (3) years.

Ownership of commercial

income producing property may also be used as evidence of investor experience.

For files with more than one borrower/guarantor, only one borrower/guarantor must meet the definition.

Ownership history can be documented for other REO with one of the following:

Mortgage history on credit report

Property profile report

Other 3rd party documentation (e.g., Fraud Report, Settlement Statement, Closing Disclosure)

First Time Investor

First Time Investor is a borrower/guarantor that is purchasing an investment property for the first time, meaning

they have not previously owned a property intended for rental income, resale, or other investment purposes.

First Time Investors that do not currently own a primary residence are ineligible for DSCR DSCR programs, see

matrices for eligibility.

First Time Investors are eligible subject to the following restrictions:

First-time homebuyer not allowed

Minimum credit score: 700

Minimum of 36-months seasoning from any credit event

Single family residence only

* DSCR >

> **§ 1.00**

For borrower living with a spouse, see Section - Housing History - DSCR.

1-4 Family Residential Property

> **§ 1.8.13**

Property Income Analysis

> **§ 1.8.13.1**

Gross monthly rents are used to determine the DSCR . See the appropriate Long Term or Short Term requirements below for rental income documentation and DSCR calculation.

Long Term Rental Documentation and DSCR Calculation

> **§ 1.8.13.2**

Purchase Transactions

> **§ 1.8.13.2.1**

Monthly Gross Rents are the monthly rents established on FNMA Form 1007 or 1025 reflecting long term market

rents.

If the subject property is currently tenant occupied, the 1007 or 1025 must reflect the current monthly rent.

Monthly gross rent is to be evaluated for each unit individually.

If using the lower of the actual lease amount or estimated market rent, nothing further is required.

If using a higher actual lease amount, evidence of 2-months of receipt is required, and the lease amount must

be within 120% of the estimated marketrent from the 1007 or 1025. If the actual rent exceeds the estimated

market rent by more than 120%, the rents are capped at 120%.

If using a higher estimated market rent from 1007/1025, it must be within 120% of the lease amount. If the

estimated market rent exceeds the lease amount by more than 120%, the estimated market rent is capped at

120%.

A vacant or unleased property is allowed without LTV restriction.

Units subject to rent control or housing subsidy must utilize current contractual rent to calculate DSCR.

Refinance Transactions

> **§ 1.8.13.2.2**

Required documentation:

Original appraisal report reflecting tenant-occupied, and

FNMA Form 1007 or 1025 reflecting long term market rents, and

Executed lease agreement

Leases that have converted to month-to-month are allowed.

If lease agreement is not provided, LTV/CLTV is limited to lesser of 70% or per DSCR/FICO/Loan balance

matrix.

A vacant property as indicated on the appraisal is allowed subject to the following:

LTV/CLTV limits: Lesser of 70%, or the LTV/CLTV based upon the DSCR/FICO/Loan balance matrix.

Monthly Gross Rents are determined by using the actual lease amount or estimated market rent. Monthly

gross rent is to be evaluated for each unit individually.

If using the lower of the actual lease amount or estimated market rent, nothing further is required.

If using a higher actual lease amount, evidence of 2-months of receipt is required, and the lease amount must

be within 120% of the estimated market rent from the 1007 or 1025. If the actual rent exceeds the estimated

market rent by more than 120%, the rents are capped at 120%.

If using a higher estimated market rent from 1007/1025, it must be within 120% of the lease amount. If the

estimated market rent exceeds the lease amount by more than 120%, the estimated market rent is capped at 120%.

Units subject to rent control or housing subsidy must utilize current contractual rent to calculate DSCR.

DSCR Calculation

Debt Service Coverage Ratio is the Monthly Gross Rents divided by the PITIA (or ITIA) of the subject property.

See the Total Quality Lending Eligibility Matrix for required Debt Service Coverage Ratios.

PITIA: Gross rents divided by PITIA = DSCR

ITIA: Gross rents divided by ITIA = DSCR

Short Term Rental (e.g., Airbnb, VRBO, Flipkey) Documentation and

DSCR Calculation

> **§ 1.8.13.3**

Short term rentals are properties which are leased on a nightly, weekly, monthly, or seasonal basis.

Short Term Rental Income - Purchase and Refinance Transactions

See matrix for LTV/CLTV overlays

See matrix for Condo Hotel (Condotel) LTV/CLTV restrictions

DSCR calculation:

Monthly gross rents based upon a 12-month average to account for seasonality required.

Gross rents reduced by 20% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning)

associated with operating short-term rental property compared to non-short-term property. If the rental documentation referenced below includes expenses, actual expenses should be compared to the 20% expense factor. If actual expenses are less than 20%, a minimum 20% expense factor is required to be utilized. If actual expense exceeds 20%, the actual expense factor should be used.

PITIA: (Gross Rents * .80) divided by PITIA = DSCR

PITIA: (Gross Rents * .80) divided by ITIA = DSCR

When short-term rental income is documented using multiple sources, the lowest source of monthly income

is to be utilized for calculating DSCR.

Any of the following methods may be used to determine gross monthly rental income:

Short-term rental (STR) analysis form or 1007/1025 may be used, must include the following:

- Provide the source of the data used to complete the STR analysis.
- Include comparable STR properties, focusing on room count, gross living area (GLA), location, and market appeal.
- Include daily rental rate and occupancy percentage.
- Factor seasonality and vacancy into the analysis.
- Must be completed by a licensed appraiser.

The most recent 12-month rental history statement from the Third party rental/management service (e.g., AirBNB, VRBO, Flipkey).

The statement must identify the subject property/unit, rents collected for the previous 12-months,

and all vendor management fees. The qualifying rental income must be net of all vendor or management fees.

- The most recent 12-month bank statements from the borrower evidencing short term rental deposits. Borrower must provide rental records for the subject property to support monthly deposits.

AIRDNA (www.Airdna.co) Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental Data, must meet the following requirements:

Rentalizer (Property Earning Potential Report)

Only allowed for purchase transaction.

Gross Rents equal the revenue projection from the Property Earning Potential Report.

- The gross rents are subject to the application of the 20% extraordinary expense factor.
- Revenue projection equals the average daily rental rate times the occupancy rate.
- Forecast Period must cover 12-months and dated 90-days within the Note date.
- Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy.
- Market Score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.

Debt Service Coverage Ratio (DSCR)

> **§ 1.8.13.4**

Debt Service Coverage Ratio is the Monthly Gross Income divided by the PITIA (or ITIA for interest-only loans) of the subject property. See the Total Quality Lending Eligibility matrix for required Debt Service Coverage Ratios.

See Section - Qualifying Payment for further guidance regarding Qualifying Payments.

Calculating Real Estate Tax Payment for subject property:

For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real

estate taxes based on the value of the land and the total of all new and existing improvements.

State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.

For refinance transactions, use the current tax assessment.

Example: Sample Debt Service Coverage Ratio Calculation

Single Family Purchase Money

Transaction

Monthly PITIA \$650

Estimated Monthly Market Rent (FNMA \$850

Form 1007)

Existing Lease Monthly Rent Not Available

Use Market Rent of \$850 (Estimated Monthly Market Rent when a lease is not available for a purchase

transaction).

Gross Rents (\$850) / PITIA (\$650) = DSCR (1.30)

Restrictions

Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time

occupy the subject property.

Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any

officer, director, executive employee, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described in

the preceding.

Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.

Gift funds permitted after a minimum 10% borrower contribution, documented per 2.7.2 Asset Documentation.

Interest reserve accounts are not permitted.

When the subject property is refinanced out of a cross collateral/blanket mortgage and into a single asset

mortgage, the following are required:

Copy of the Note for the cross collateral/blanket mortgage to verify release terms.

Copy of the Deed of Trust or Mortgage evidencing the encumbered properties.

Copy of the payoff statement for the subject property to verify payoff terms.

Transaction must be treated as cash-out when the borrower receives cashout proceeds.

Housing History - DSCR

> **§ 1.8.13.5**

Housing history must be documented for the borrower's primary residence and the subject property, if a

refinance transaction, for the most recent 12-months.

Housing history that is documented on the credit report for properties that are not the borrower's primary

residence or the subject property must be included in housing history eligibility.

Additional housing history is not required when non-primary residence and non-subject property mortgages are not reported on the credit report.

Credit events documented on the credit report for properties that are not the borrower's primary residence

or the subject property must be included in credit event eligibility.

For all real estate owned, housing history and credit events documented outside of the credit report must

be reviewed for program eligibility.

See Section 2.6.5.1 Mortgage Verification for primary residence and subject property documentation

requirements.

An updated mortgage history, defined as paid current as of the month prior to the application date, is only

required for the primary residence and subject property.

Primary residence owned free & clear requires a Property Profile Report or similar document.

Payment history evaluation for property taxes and insurance is not required.

For refinance transactions of the subject property, when the existing financing is a Paid In Kind (PIK) loan,

a copy of the Note must be provided in the credit file to determine required payments. Notes allowing interest to accumulate during the term of the loan are eligible, however, all refinance transactions are treated as cashout. First time homebuyers (FTHB) living with a spouse are eligible subject to all of the following: Spouse owns the primary residence. Documentation verifies the spouse is on title to the primary residence. Housing history is documented for the primary residence for the most recent 12-months, or evidence is provided verifying the primary residence is owned free & clear.

Restrictions

> **§ 1.8.13.6**

See the Total Quality Lending Matrices for the maximum LTV/CLTV.
If the loan amount is < \$150,000 the minimum DSCR is 1.25.
Minimum credit score of 640.
Rural property and acreage restrictions: See individual matrices.
Gift funds permitted after a minimum 10% borrower contribution, documented per Section - Asset Documentation.
Neither the Borrower(s) nor the borrower's immediate family shall at any time occupy the property.
Cash-out on an investment property where loan proceeds are used for consumer purposes. When the subject property is encumbered by a blank/cross collateralized loan, the transaction is considered cashout. Copy of the note will be required to verify the payoff/release terms.
Interest reserve accounts are not permitted.

Borrower Application

> **§ 1.8.13.7**

FNMA Form 1003 (URLA) or Business Purpose Loan Application to be provided.
Borrower information section of the loan application should be completed.
REO section at a minimum to include the borrower's primary residence and subject property if refinance.
Borrower's contact information to be provided on the loan application.

5-8 Residential and 2-8 Mixed Use Property

> **§ 1.8.14**

Property Income Analysis

> **§ 1.8.14.1**

Minimum DSCR >= 1.00.
DSCR = Eligible monthly rents/PITIA (Loans with an interest only feature may use the ITIA payment).
Leased - Use lower of Estimated market rent or lease agreement.
Vacant Unit(s) - Use 75% of market rents.
Max: 1 vacancy on 2-3 Unit properties, 2 vacancies on 4+ Units.
Vacant residential units must be actively marketed for rent. Provide screenshot of listing or other documentation.
Vacant commercial space not allowed.
Reduce qualifying rents by any management fee reflected on appraisal report.(cont below)
Copies of any existing leases must be provided (Purchase and Refinance transactions).
If the lease has been converted to month-to-month, then provide the most recent two (2) months proof of receipt to evidence continuance of lease.
Income from commercial space must not exceed 49.99% of the total property income.
Short-term rental use/income not eligible.
Neither the Borrower(s) nor the borrower's immediate family shall at any time occupy the property.

Borrower Experience

> **§ 1.8.14.2**

Experienced Investors only, borrower must have a history of owning and managing commercial or non-owner occupied residential real estate for at least 1 year in the last 3 years.
First time investors are not eligible.

Eligible Property

> **§ 1.8.14.3**

Residential 5 - 8 Unit Buildings
Residential unit(s) not permitted to be occupied by the borrower or the borrower's immediate family.
Residential Unleased Units
- Maximum 1-unit on 2-3 unit property
- Maximum 2-units on 4+ unit property
Maximum 2-acres
Mixed use 2 - 8 Units
Mixed use property consists of residential and commercial units. The number of commercial units is limited by the total number of units in the building, as follows:

- 2-3 Total Units: Max 1 commercial Unit
- 4-5 Total Units: Max 2 commercial Units
- 6-8 Total Units: Max 3 commercial Units

Vacant commercial space not allowed

Commercial space must not exceed 49.99% of the total building area

Commercial unit(s) may be occupied by the borrower's business

Commercial usage limited to Retail/Office/Restaurant

Residential Unleased Units in a Mixed Use Building

- Total Units: Maximum 1 unleased residential unit
- 4+ Total Units: Maximum 2 unleased residential units

Residential unit(s) not permitted to be occupied by the borrower or the borrower's immediate family

Maximum 2-acres

Property Condition

> **§ 1.8.14.4**

No Fair or poor ratings.

No environmental issues (Storage or use of hazardous material i.e., dry cleaner, laundromat, chemical

storage, fuel station, auto body repair)

No health or safety issues (As noted by appraiser, i.e., broken windows, stairs)

No excessive deferred maintenance that could become a health or safety issue for tenants

No structural deferred maintenance, (i.e., Foundation, roof, electrical, plumbing)

Restrictions:

Neither the borrower(s), the borrower's immediate family, nor borrower affiliated tenants shall at any time

occupy the subject property.

Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any

officer, director, executive employee, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described in

the preceding.

Cash-out on an investment property where loan proceeds are used for consumer purposes is ineligible.

Gift funds are ineligible.

Interest reserve accounts are not allowed.

Prepayment Penalty

> **§ 1.8.14.5**

Eligible prepayment penalties limited to either a fixed percentage or declining percentage style

Eligibility Requirements

> **§ 1.8.14.6**

The maximum loan term cannot exceed 30 years.

Assets

> **§ 1.8.14.7**

For asset documentation requirements, follow DSCR - DSCR 1-4 Family Residential guidelines. Gift funds are not

allowed for 5-8 Residential and 2-8 Mixed Use properties.

Property Eligibility

> **§ 1.9**

Appraisals

> **§ 1.9.1**

Appraisal Requirements 1-4 Unit Residential

> **§ 1.9.1.1**

Total Quality Lending reserves the right to review all valuation reports and determine if the subject property value is supported.

Appraisers must meet all industry standards and be State Certified. All real estate appraisals must be performed

according to the Uniform Standards of Professional Appraisal Practice (USPAP) and Fannie Mae® guidelines,

including Universal Appraisal Dataset (UAD) requirements. Appraisal assignments must be obtained in a manner

that maintains appraiser independence and does not unduly influence the appraiser to meet a predetermined

value. Total Quality Lending reserves the right to restrict the use of any specific appraiser and/or appraisal

management company at its discretion.

Sellers are responsible for reviewing the appraisal report for accuracy, completeness, and its assessment of the

marketability of the subject property. The Seller needs to determine that the subject property provides acceptable

collateral for the loan. For guidance in the manual review of an appraisal report, see the Appraisal Review Guide.

The age and price of the subject property should fall within the age and price range of properties in the subject neighborhood. Comparable properties should be selected from the same neighborhood when possible. Selection of a comparable outside the subject neighborhood should be addressed within the report. For condominiums, at least one comparable should be from outside the subject project. Ideally, comparable sales should be within six months of the report date. Older comparable sales that are the best indicator of value should be addressed in comments by the appraiser.

A Full Interior/Exterior appraisal report, including color photographs, requires use of one of the following forms depending on the property type:

- Uniform Residential Appraisal Report - Fannie Mae®/Freddie Mac Forms 1004/70
- Small Residential Income Property Report - Fannie Mae®/Freddie Mac Forms 1025/72
- Individual Condominium Unit Appraisal Report - Fannie Mae®/Freddie Mac Forms 1073/465
- Appraisal Update and/or Completion Report - Fannie Mae®/Freddie Mac Forms 1004D/442
- Single Family Comparable Rent Schedule - Fannie Mae®/Freddie Mac Forms 1007/1000

Sellers must order appraisals using one of two processes. The appraisal must either be ordered through an Appraisal Management Company (AMC) that complies with Appraiser Independence Requirements (AIR), or via the correspondent's own AIR-compliant process.

Appraiser License and Certification

> **§ 1.9.1.1.1**

The appraisal report forms identify the appraiser as the individual who:

- Performed the analysis, and
- Prepared and signed the original report as the appraiser.

This does not preclude appraisers from relying on individuals who are not state-licensed or state-certified to provide significant professional assistance, such as an appraiser trainee.

Appraisal Age

> **§ 1.9.1.1.2**

The appraisal should be dated no more than 365 days prior to the Note date.

When an appraisal report will be more than 120 days old on the date of the Note, regardless of whether the property was appraised as proposed or existing construction, the appraiser must inspect the exterior of the property and review current market data to determine whether the property has declined in value since the date of the original appraisal. This inspection and the results of the analysis must be reported on the Appraisal Update and/or Completion Report (FNMA Form 10040).

If the appraiser indicates on FNMA Form 10040 that the property value has declined, then the seller must obtain a new appraisal for the property.

If the appraiser indicates on FNMA Form 10040 that the property value has not declined, then the seller may proceed with the loan in process without requiring any additional fieldwork.

Not eligible for Total Quality Lending: Properties for which the appraisal indicates condition ratings of CS or C6, or a quality rating of Q6, as determined under the Uniform Appraisal Dataset (UAD) guidelines.

Total Quality Lending will consider purchase if the issue has been corrected prior to loan funding and with proper documentation.

Second Appraisal

> **§ 1.9.1.1.3**

A second appraisal is required when any of the following conditions exist:

- The loan balance exceeds \$2,000,000 for either a single property loan or the allocated loan balance of a property within a cross-collateral loan.
- (2nd appraisal not required when Form 71A Multifamily or a commercial narrative report utilized).

The transaction is a flip as defined in the Property Flips section of this guide.

As required under the Appraisal Review Products section of this guide.

When a second appraisal is provided, the transaction's "Appraised Value" will be the lower of the two appraisals.

The second appraisal must be from a different company and appraiser than the first appraisal.

Appraisal Evaluation

> **§ 1.9.1.1.4**

The sales comparison approach must be used as the final appraised value.

Subject Analysis

> **§ 1.9.1.1.5**

Loans Vesting in an Entity: Borrower name disclosed on the appraisal report may reflect the individual member(s) of the entity or the entity name.

Neighborhood Analysis

> **§ 1.9.1.1.6**

Neighborhood boundaries should be described using four (4) cardinal directions, streets, waterways, other geographic features, and natural boundaries that define separation of one neighborhood from another.

Neighborhood characteristics should be described with types and sizes of structures, architectural styles, current land uses, site sizes, and street patterns or designs.

Factors that affect value and marketability should be mentioned in as much detail as possible - e.g., proximity

of the property to employment and amenities, public transit, employment stability, market history, and

environmental considerations.

Existing Construction

> **§ 1.9.1.1.7**

If the appraiser reports the existence of minor conditions or deferred maintenance items that do not affect the

safety, soundness, or structural integrity of the property, the appraiser may complete the appraisal "as is." These

items must be reflected in the appraiser's opinion of value.

When there are incomplete items or conditions that do affect the safety, soundness, or structural integrity of the

property, the property must be appraised subject to completion of the specific alterations or repairs. These items

can include a partially completed addition or renovation, or physical deficiencies that could affect the safety,

soundness, or structural integrity of the improvements, including but not limited to, cracks or settlement in the

foundation, water seepage, active roof leaks, curled or cupped roof shingles, or inadequate electrical service or

plumbing fixtures. In such cases, the Seller must obtain a certificate of completion from the appraiser before the

mortgage is delivered to Total Quality Lending.

Permanent and Functioning Heat Source - A permanent heat source is required except for properties located in

geographic areas where it is typical not to have heat source and has no adverse effect on marketability.

Subject Section

> **§ 1.9.1.1.8**

The appraiser is required to research and identify whether the subject property is currently for sale or if it has been

offered for sale in the 12-months prior to the effective date of the appraisal. If the answer is 'No,' the data source(s)

used must be provided. If the answer is 'Yes,' the appraiser must report on each occurrence or listing and provide

the following information:

Offering price(s).

Offering date(s).

Data source(s) used. For example, if the subject property is currently listed for sale and was previously listed

eight months ago, the appraiser must report both offerings.

Actual and Effective Ages

> **§ 1.9.1.1.9**

There is no restriction on the actual age of the dwelling. Older dwellings that meet general requirements are

acceptable. Improvements for all properties must be of the quality and condition that will be acceptable to typical

purchasers in the subject neighborhood. The relationship between the actual and effective ages of the property is

a good indication of its condition. A property that has been well-maintained generally will have an effective age

somewhat lower than its actual age. On the other hand, a property that has an effective age higher than its actual

age probably has not been well-maintained or might have a specific physical problem. In such cases, the Seller

should pay particular attention to the condition of the subject property in its review of any appraisal report. When

the appraiser adjusts for the "Year Built," he or she must explain those adjustments.

Rapid Appreciation in Value

Rapid appreciation in value must be evaluated for both purchase and refinance transactions.

Rapid appreciation in

value is defined as:

>=15% increase in the subject property's value within the past 12 months, or

>=25% increase in the subject property's value within the past 24 months.

When there is rapid appreciation in value, due diligence is required when analyzing the following on the ****Appraisal****:

Sales Contract Analysis

The appraisal report must analyze the subject property's sales contract.

Appraiser comments must justify any significant increase in sales price or value compared to the seller's acquisition cost.

Listing History Review

The appraiser must report and analyze the subject property's 12-month listing history.

The appraised value must be reconciled with prior listings, with explanations provided for any increases.

Sales/Transfer History Review

The appraiser must report and analyze the subject property's 36-month sales or transfer history.

Prior sales must be reconciled with the current appraised value, with explanations for increases in

value.

Property Improvements

When value increases are attributed to renovations, the appraisal must:

- List all improvements,
- Include photographs, and
- Provide supporting documentation if the appraisal analysis is insufficient to document the renovations.

Market Support

- The appraised value must be supported by credible market data.
- Any significant increase in value must be shown to be reasonable within the subject property's market.

Comparable Sales

- Appropriate comparable sales must be utilized to support any significant increase in value.

Analysis and Rationale

- The appraisal analysis must be detailed, transparent, and clearly explain the methodology and rationale supporting the increase in value.

Refer to Section Property Flipping and Section Appraised Value Misrepresentation for additional guidance on valuation risk.

Accessory Dwelling Units (ADU)

> ****§ 1.9.1.1.10****

An Accessory Dwelling Unit (ADU) is an additional living area independent of the primary dwelling that may have

been added to, created within, or detached from the primary dwelling. Examples of an ADU include, but are not

limited to, a living area over the garage, a walk-out basement, or a small addition to the primary dwelling.

Total Quality Lending will purchase a one unit property with up to two ADUs. Accessory Dwelling Unit (ADU)

Requirements:

ADU square footage must be smaller than the primary dwelling.

ADU must have separate features from the primary dwelling for the following:

Means of ingress/egress

Kitchen

Sleeping area

Bathing area/bathroom facilities

Kitchen must include cabinets, countertop, sink with running water, and stove.

Construction of the ADU must be consistent with the quality of the primary dwelling.

If it is determined that the property contains an ADU that is not allowed under zoning, the property is eligible,

as follows:

Hazard insurance replacement cost coverage must include the ADU.

Illegal use conforms to the subject neighborhood and market.

Appraisal report demonstrates that improvements are typical for the market through an analysis of at least two

comparable sales with the same non-compliant zoning use. If an ADU can only be accessed through the primary

dwelling or the area is open to the primary dwelling, it is not considered an ADU and is ineligible as an ADU.

Other Requirements:

The property is defined as a one-unit property with up to two ADUs.

Three or more ADUs on a single lot are not permitted.

Appraisal Report:

Include a description of the ADU and analyze the effect it has on marketability of the subject property.
Demonstrate that improvements are typical for the market through an analysis of at least one comparable property with the same use and same number of ADUs.
Form 1025 must be completed when there are two ADUs.
Rental income may be used for the accessory unit subject to the following:
Appraisal report to reflect zoning compliance is legal or in compliance with zoning laws.
Permits are to be verified if required by the jurisdiction.
Appraisal report to include at least one comparable with the same number of ADUs as the subject property.
Gross market rents must be itemized when there are two ADUs that generate rental income.

Purchase Transactions

> **§ 1.9.1.1.11**

Owner-Occupied/2nd Home: Income from the accessory unit may not be used as qualifying income.

Investment:

Long Term Rental: Use the lower of the market rent on FNMA Form 1007/1025 or actual rent, if the lease

is transferred (copy of lease agreement required).

Short Term Rental: Follow documentation requirements for the selected doc type.

If using AirDNA, total bedroom count should include both the primary dwelling and ADU(s).

Refinance Transactions

> **§ 1.9.1.1.12**

Owner-Occupied/2nd Home: Income from the accessory unit may not be used as qualifying income.

Investment:

Long Term Rental: Use the lower of the market rent on FNMA Form 1007/1025 or actual rent. When documenting actual rent, follow requirements for the selected doc type.

Short Term Rental: Follow documentation requirements for the selected doc type.

a. If using AirDNA, total bedroom count should include both the primary dwelling and ADU(s).

Outbuildings

> **§ 1.9.1.1.13**

A Seller must give properties with outbuildings special consideration in the appraisal report review to ensure that

the property is residential in nature. Descriptions of the outbuildings should be reported in the Improvements and

Sales Comparison Approach sections of the appraisal report form.

Type of Outbuilding:

Minimal outbuildings, such as small barns or stables, that have relatively insignificant value in relation to the

total appraised value of the subject property

An atypical minimal building

Significant outbuildings, such as silos, large barns, storage areas, or facilities for farm-type animals

Suitability

> **§ 1.9.1.1.14**

The appraiser must demonstrate, using comparable sales with similar amenities, that the improvements

are typical of the residential properties in the subject area for which an active, viable residential market

exists.

The property is acceptable provided the appraiser's analysis reflects little or no contributory value for it.

The presence of the outbuildings may indicate that the property is agricultural in nature. The Seller must

determine whether the property is residential in nature, regardless of whether the appraiser assigns value

to the outbuildings.

Solar Panels

> **§ 1.9.1.1.15**

Solar panels that are leased from or owned by a third party under a power purchase agreement or other

similar financing arrangement must be considered personal property and not be included in the appraised

value of the property.

Private Roads

> **§ 1.9.1.1.16**

Require a permanent easement for ingress and egress with provisions for road maintenance.

Rural Property

> **§ 1.9.1.1.17**

A property is classified as rural if:

- The appraiser indicates in the neighborhood section of the report a rural location or
- The following two (2) conditions exist:
- The property is located on an unpaved road, and

- Two of the three comparable properties are more than five (5) miles from the subject property
See Total Quality Lending Matrices for program eligibility and LTV restrictions.

Transfer of Appraisal

> **§ 1.9.1.1.18**

A transferred appraisal report is acceptable provided the report meets the seller's appraisal requirements for independence.

5-8 RESIDENTIAL AND 2-8 MIXED USE APPRAISAL AGE

> **§ 1.9.1.2**

Appraisals dated fewer than 120 days prior to the Note date are acceptable. After 120 days, a new appraisal is required.

5-8 UNIT RESIDENTIAL PROPERTIES

> **§ 1.9.1.2.1**

A full interior inspection with photos is required for all units. The sales comparison approach should be used as the appraised value.

One of the following appraisal forms are acceptable:

FHLMC Form 71A, FHLMC Form 71B, FNMA Form 1050 or similar short form can be used to appraise 5+ residential properties; or

A narrative report can be utilized and must include the sales approach with repeat sales analysis in value determination.

2-8 MIXED USE PROPERTIES

> **§ 1.9.1.2.2**

Commercial use is limited to retail, office space, or restaurants. Residential or commercial zoning acceptable. One

of the following appraisal reports are acceptable:

General Purpose Commercial Forms (i.e., GP Commercial Summary Form available from CoreLogic a la mode); or

A narrative report can be utilized and must include the sales approach with repeat sales analysis in value determination.

Regardless of the report type, the following are required:

A full interior inspection with photos is required for all units.

Commercial space must not exceed 49.99% of the total building area.

The sales comparison approach should be used as the appraised value.

Appraisal Attachments Required

Rent Roll

Income and Expense Statement

Photos of subject including exterior/interior and street scene

Aerial photo

Sketch or floor plan of typical units

Map

Appraiser qualifications

PROPERTY CONDITION

> **§ 1.9.1.2.3**

No fair or poor ratings

No environmental issues (Storage or use of hazardous material i.e., Dry Cleaners, Laundromat)

No health or safety issues (As noted by appraiser, i.e., broken windows, stairs)

No excessive deferred maintenance that could become a health or safety issue for tenants

No structural deferred maintenance, (i.e., Foundation, roof, electrical, plumbing)

Appraisal Review Requirements

> **§ 1.9.1.3**

APPRAISAL REVIEW PRODUCTS 1-4 RESIDENTIAL PROPERTY

1.9.1.3.1

An appraisal review product is required on every loan file unless a second appraisal is obtained. The appraisal

review product should provide an "as is" value for the subject property (the "Appraisal Review Value") as of the

date of the subject loan transaction.

The following options are eligible review products:

The Seller may submit the appraisal report to Collateral Underwriter® (CU) or Loan Collateral Advisor ®

(LCA). An eligible score is 2.5 or less. The file must include a copy of the Submission Summary Report

(SSR).

Only one score required, if both scores (CU & LCA) provided, both required to be 2.5 or less.

If the score exceeds 2.5, the file must include either an enhanced desk review, AVM, field review, or

second appraisal.

An enhanced desk review product from one of the following choices:

ARR from Stewart Valuation Intelligence FKA Pro Teck

CDA from Clear Capital

ARA from Computershare
CCA from Consolidated Analytics
VRR from Homegenius Real Estate
Valreview Appraisal Review Value from Valligent (Veras Software Company)
If the enhanced desk review product reflects a value more than 10% below the appraised value or cannot provide a validation, the file must include either a field review or a second appraisal. A field review or a second appraisal is acceptable. These may not be from the same appraiser or appraisal company as the original report.
AVM from an approved vendor with an acceptable FSD score range. AVM value must be within 10% of the appraised value.
AVM may not be more than 90 days old at closing (date the Note is signed)
If the AVM reflects a value more than 10% below the appraised value or cannot provide a value, the file must include an enhanced desk review product, field review, or a second appraisal. These may not be from the same appraiser or appraisal company as the original report.

- o AVM Vendor used Clear Capital with Acceptable FSD Score Range 0.00 to > **§ 0.13**

APPRAISAL REVIEW PRODUCT 5-8 RESIDENTIAL AND 2-8 MIXED USE

> **§ 1.9.1.3.2**

An appraisal review product is required from one of the following:
A commercial sales and income Broker Price Opinion (BPO) is required. The appraised value is considered valid if the BPO is greater than or not more than 10% below the value of the appraisal. If the BPO is more than 10% below the appraised value, then the BPO value is used to determine the loan LTV. In Pennsylvania and North Carolina, a commercial evaluation product is used instead of the BPO product, or
A second appraisal may be provided. The transaction's "Appraised Value" will be the lower of the two appraisals. The second appraisal must be from a different company and appraiser than the first appraisal.

Minimum Property Requirements

> **§ 1.9.1.4**

Minimum Square Footage
SFR 700 sq. ft.
Condo 500 sq. ft.
Unit 400 sq ft per individual unit
All properties must:
Be improved real property.
Be accessible and available for year-round residential use.
Contain a full kitchen and a bathroom.
Represent the highest and best use of the property.
Not contain any health or safety issues.

Personal Property

> **§ 1.9.1.5**

Any personal property transferred with a real property sale must be deemed to have zero transfer value, as indicated by the sales contract and the appraisal. If any value is associated with the personal property, the sales price and appraised value must be reduced by the personal property value for purposes of calculating the LTV/CLTV.

Escrow Holdbacks

> **§ 1.9.1.6**

Escrow holdbacks are not allowed. Any repair or maintenance required by the appraiser must be completed prior to loan purchase. Total Quality Lending will not acquire any loan with an escrow holdback.

Declining Markets

> **§ 1.9.1.7**

The loan transaction is subject to an LTV/CLTV cap, program specific, if the property is in a declining market.
Declining markets are determined by a) property location in a State identified by Total Quality Lending, or b) the appraisal report reflects a declining market under housing trends. State eligibility is referenced on the Loan LTV Matrices. The program specific LTV/CLTV caps are as follows:

Query TQL Loan Program Matrices

Property Types

> **§ 1.9.1.8**

ELIGIBLE PROPERTIES

> **§ 1.9.1.8.1**

Single Family Detached
Single Family Attached
Planned Unit Development (PUD)
Single Family Detached homes with PUD riders
De minimus Planned Unit Development (dPUD)
PUD with "de minimus" monthly HOA dues
2-4 Unit residential properties
5-8 Unit residential properties (DSCR only)
2-8 Mixed Use (DSCR only)
2-3 Units: Max 1 commercial Unit
4-5 Units: Max 2 commercial Units
6-8 Units: Max 3 commercial Units
Condominium (See Section - Condominiums Projects for complete condominium eligibility criteria)
Condo hotels (See Section - Condominium Hotels for complete condominium eligibility criteria)
Modular homes
Properties of 20 acres or less
Leaseholds (in areas where leaseholds are common)
Coop (CASE by CASE only - Contact Sales)
TILA Higher Priced Mortgage Loans (HPML) Appraisal Rule
1026.35(A)(1) (PROPERTY FLIPS)

> **§ 1.9.1.8.2**

Applies to covered HPML transactions.
Qualified Mortgages (QM) are excluded.
A property is considered a "flip" if either of the following are true:
The price in the borrower's purchase agreement exceeds the property Seller's acquisition price by more than
10% if the property Seller acquired the property 90 or fewer days prior to the date of the borrower's purchase agreement.
The price in the borrower's purchase agreement exceeds the property Seller's acquisition price by more than
20% if the property Seller acquired the property 91- 180 days prior to the date of the borrower's purchase agreement.
The acquisition date is the day the seller became the legal owner. The purchase date is the day the borrower and the seller sign the home purchase agreement. Start with the day after the acquisition date and count up to and including the purchase date.
If the property is a "flip" as defined above, the following additional requirements apply:
A second appraisal must be obtained.
If the loan is subject to Regulation Z, a copy of the second appraisal must be provided to the borrower in compliance with the federal HPML requirements.
The second appraisal must be dated prior to the loan consummation/note date.
The property Seller on the purchase contract must be the owner of record.
Increases in value should be documented with commentary from the appraiser and recent comparable sales.
Sufficient documentation to validate the actual cost to construct or renovate (e.g., purchase contracts, plans and specifications, receipts, invoices, lien waivers, etc.) must be provided, if applicable.

Ineligible Properties

> **§ 1.9.1.8.3**

Vacant land or land development properties
Properties not readily accessible by roads that meet local standards
Properties not suitable for year-round occupancy, regardless of location
Properties with agricultural features (e.g., vineyards, farms, ranches, orchards, equestrian facilities)
Manufactured or Mobile homes
Units subject to timeshare arrangements
Properties with fractional ownership
Units in a Co-op development
Properties used as boarding houses, bed/breakfast, or single room occupancy (e.g., pad split app)
Properties used as healthcare facilities (e.g., assisted living, elder care, recovery/treatment)
Properties with nonresidential, income-producing structures on premise (e.g., billboards, cell phone towers, commercial workshop)
Properties with zoning violations or illegal use
Dome or geodesic properties

Properties on Native American Land (Reservations)

Log homes that are not common to the area

Hawaii properties located in lava zones 1 and/or 2

Houseboats

Properties used for the cultivation, distribution, manufacture, or sale of marijuana

Barn conversions (barndominiums)

Properties with condition rating of C5/C6 or quality rating of Q6 on the appraisal

Acreage Limitations

> **§ 1.9.1.9**

A maximum of 20 acres, see program matrices for restrictions

No truncating allowed

State Eligibility

> **§ 1.9.1.10**

Nationwide - excluding Puerto Rico, Guam, and the US Virgin Islands

Texas Home Equity Loans 50(a)(6)

> **§ 1.9.1.10.1**

A Texas Section 50(a)(6) mortgage is a home equity loan originated under the provisions of Article XVI, Section

50(a)(6), of the Texas Constitution, which allow a borrower to take equity out of a homestead property under

certain conditions. All loans must comply with the requirements listed in the Texas

Constitution. Sellers should not

rely on Total Quality Lending Mortgage Capital categorization of refinance loans for purposes of determining

whether compliance with the provisions of Texas Constitution Section 50(a)(6) is required.

Sellers should consult

with their counsel to determine the applicability of Texas Constitution Section 50(a)(6) to a specific transaction.

Refer to Texas Real estate case law for more details or contact your TQL Sales Consultant

Leasehold Properties

> **§ 1.9.1.11**

In areas where leasehold estates are commonly accepted and documented via the Appraisal, loans secured by

leasehold estates are eligible for purchase. The mortgage must be secured by the property improvements and the

borrower's leasehold interest in the land. The leasehold estate and any improvements must constitute real

property, be subject to the mortgage lien, and be insured by the Seller's title policy.

The Seller must provide documentation and leaseholds must meet all Fannie Mae® eligibility requirements (i.e.,

term of lease), with the exception of co-ops and manufactured homes which are not eligible.

Total Quality Lending Exposure - Borrower Limitations

> **§ 1.9.1.12**

Total Quality Lending' aggregate exposure to a single borrower and/or household shall not exceed \$5,000,000 in

current unpaid principal balance (UPB) or ten (10) loans.

Properties in Federally Declared Disaster Areas

> **§ 1.9.1.13**

Sellers are responsible for identifying geographic areas impacted by disasters and taking appropriate steps to

ensure the subject property has not been adversely affected. The following guidelines apply to properties located

in FEMA declared disaster areas for Individual Assistance, as identified by reviewing the FEMA website at

www.fema.gov/disasters. In addition, when there is knowledge of an adverse event occurring near and around the

subject property location, such as earthquakes, floods, tornadoes, wildfires, coastal erosion, or landslide,

additional due diligence must be used to determine if the disaster guidelines should be followed.

APPRAISAL COMPLETED PRIOR TO DISASTER

> **§ 1.9.1.14.1**

An exterior inspection of the subject property, performed by the original appraiser, if possible, is required.

The appraiser should provide a statement indicating if the subject property is free from any damage, is in the same

condition as the previous inspection, and the marketability and value remain the same.

Inspection Report must include new photographs of the subject property and street view, through one of the

following:

FNMA Form 1004D, or

Post Disaster Inspection (PDI) Report, see Section - Post Disaster Inspection Requirements, or Property Condition and Inspection Report, see Section - Post Disaster Inspection Requirements

Any damage must be repaired and re-inspected prior to purchase.

APPRAISAL COMPLETED AFTER DISASTER EVENT

> **§ 1.9.1.14.2**

If the appraisal report indicates damage to the structure because of a FEMA Declared Disaster event, the structural damage must be repaired and a re-inspection completed on FNMA Form 1004D prior to purchase by Total Quality Lending.

DISASTER EVENT OCCURS AFTER CLOSING BUT PRIOR TO LOAN PURCHASE

> **§ 1.9.1.14.3**

A loan is ineligible for purchase until an inspection is obtained based on the following: Inspection Report must include new photographs of the subject property and street view, through one of the following:

FNMA Form 1004D, or

Post Disaster Inspection (PDI) Report, see Section - Post Disaster Inspection Requirements, or Property Condition and Inspection Report, see Section - Post Disaster Inspection Requirements If subject property is free of damage, nothing further is required.

Any indication of damage reflected in the report will require a re-inspection of the property verifying the damage

has been repaired on one of the following:

FNMA Form 1004D, or

Post Disaster Inspection (PDI) Report, see Section - Post Disaster Inspection Requirements, or Property Condition and Inspection Report, see Section - Post Disaster Inspection Requirements POST DISASTER INSPECTION REQUIREMENTS

> **§ 1.9.1.14.4**

Inspection must be from the appraiser or a third-party vendor (e.g., Clear Capital, Stewart/Pro Teck)

Exterior color photos of the subject property and street scene

Address verification to be included

Details of the damage, if any, including cost to cure

Color photos of damage incurred as a result of the disaster

If repairs are required, re-inspection of the subject property to evidence repairs were completed in a

workmanlike manner

Condominium Projects

> **§ 1.9.1.15**

A condominium project is one in which individual owners hold title to units in the project along with an undivided

interest in the real estate that is designated as the common area for the project. The units in the project must be

owned in fee simple and the unit owners must have the sole ownership interest in and rights to the use of, the

project's facilities, common elements, and limited common elements.

To qualify as an acceptable condominium unit, the condominium project must be common for the area and demonstrate good marketability.

All Loans secured by condominium projects require a completed Condominium Project Questionnaire except for:

Projects with a Fannie Condominium Project Manager (CPM) approval subject to the following: CPM approval must not be expired as of the Note date.

File must contain a PDF print-out of the CPM approval. The PDF document must include a print date that

verifies the PDF print-out is generated within 10 days of the Note date.

Site Condominium

2-4 Unit project

For the above projects that do not require a completed Condominium Project Questionnaire, the following

requirements must be met:

Project is not ineligible, see Section - Ineligible Projects.

Evidence of sufficient hazard, flood, and walls-in insurance coverage if the subject unit has individual

coverage. If the insurance covers the entire project, it must be sufficient in the event of a total loss.

Homeowner's association dues to be included in DTI/DSCR if applicable

Projects consisting entirely of detached (site) units will not require a project review and are eligible for

single-family dwelling LTV/CLTV. Completion of the Condominium Project Questionnaire is not required for

site condominiums.

Projects have been created and exist in full compliance with applicable local jurisdiction, State, and all other

applicable laws and regulations.

Projects are ineligible if there are outstanding violations of jurisdictional requirements

(zoning ordinances, codes, laws, etc.) related to the safety, soundness, structural integrity, or habitability of the project's building(s).

Projects in need of critical repairs are ineligible, see Section Project Condition -Critical Repairs.

Special assessment information is to be provided to determine if there is a critical repair or significant deferred maintenance, see Section - Special Assessments.

Total Quality Lending project exposure maximum shall be \$5,000,000 or 20% of the total units in a project greater than 4 units, whichever is lower.

Subject Unit Minimum Requirements: Minimum 500 Square Feet, Full Size Kitchen, minimum of one (1) bedroom.

Commercial space allowed up to 50% of the project.

No more than 20% of the total units in the project may be 60 days or more past due on the condominium/HOA fees.

For condominium projects consisting of five or more units, single entity ownership is limited to 20% of the project.

Investor concentration allowed up to 60%. A higher percentage may be considered when the subject transaction is an investment property when a history of a high percentage of rental units in the project can be demonstrated.

Projects involved in litigation are acceptable provided the lawsuit(s) are not structural in nature which impact the subject unit and do not affect the marketability of the project units and potential damages do not exceed 25% of HOA reserves or documentation from the insurance carrier or attorney representing the insurance carrier that the insurance carrier has agreed to conduct defense and the HOA insurance policy is sufficient to cover the litigation expense.

Borrower must carry H0-6 coverage for replacement of such items as flooring, wall covering, cabinets, fixtures, built-ins, and any improvements made to the unit.

Seller must confirm that the project documents do not give a unit owner or any other party priority over the rights of the first mortgagee.

PROJECT CONDITION - CRITICAL REPAIRS

> **§ 1.9.1.15.1**

Projects in need of critical repairs are those needing repairs or replacements that significantly impact the safety, soundness, structural integrity or habitability of the project's building(s), or the financial viability or marketability of the project. Projects in need of critical repairs are ineligible.

Critical repairs include conditions such as:

Material deficiencies, which if left uncorrected, have the potential to result in or contribute to critical element or system failure within one year

Any mold, water intrusions or potentially damaging leaks to the project's building(s)

Advanced physical deterioration

Any project that failed to pass state, county, or other jurisdictional mandatory inspections or certifications specific to structural safety, soundness, and habitability

Any unfunded repairs costing more than \$10,000 per unit that should be undertaken within the next 12 months (does not include repairs made by the unit owner or repairs funded through a special assessment)

Significant deferred maintenance for improvements in need of substantial repairs and rehabilitation

Examples of critical repairs include but are not limited to the following: sea walls, elevators, waterproofing, stairwells, balconies, foundation, electrical systems, plumbing systems, parking structures, or other load-bearing structures.

If damage or deferred maintenance is isolated to one or a few units and does not affect the overall safety, soundness, structural integrity, or habitability of the project, then these requirements do not apply.

SPECIAL ASSESSMENTS

> **§ 1.9.1.15.2**

The Homeowners Association (HOA) will assess a one-time fee to unit owners to cover unexpected or large expenses not covered by regular HOA dues or reserve funds, known as a special assessment. Special assessments may be current or planned. Sellers must obtain and review the following to determine if it addresses a critical repair:
Determine the purpose of the special assessment.
Determine when the special assessment was approved, when it is planned (approved by the unit owners, but not yet initiated by the board), or already being executed.
Review the original amount of the special assessment and the remaining amount to be collected.
Evaluate the expected date the special assessment will be paid in full.
If the special assessment is associated with a critical repair and the issue is not remediated, the project is ineligible.

INSPECTION REPORTS

> **§ 1.9.1.15.3**

An inspection report will assess the condition of the project's building(s) and may cover structural and/or mechanical components of the project. If a report is provided, the following items should be reviewed to determine if the project is eligible:

The report cannot indicate that critical repairs and/or significant deferred maintenance are required, no evacuation orders are in effect, and no regulatory actions are required.

If the inspection report indicates there are unaddressed critical repairs and/or significant deferred maintenance, the project is ineligible until the required repairs have been completed and documented accordingly.

Seller must review an engineer's report or substantially similar document to determine if the repairs completed

have resolved the safety, soundness, structural integrity, or habitability concerns of the project.

Sellers are responsible for determining which documents are needed to ensure compliance with the requirements

and may need to review a combination of documents.

Examples of this documentation include, but are not limited to HOA board meeting minutes, engineer report(s),

structural and/or mechanical inspection reports, reserve studies, a list of necessary repairs provided by the HOA or

the project's management company, a list of special assessments provided by the HOA or the project's

management company, and other substantially similar documentation.

ESTABLISHED PROJECTS

> **§ 1.9.1.15.4**

90% of the total units in the project must be sold and conveyed to the unit owners.

40% of the total units in the project must be owner occupied.

All phases are complete.

HOA must be conveyed to the unit owners - no developer or builder-controlled projects allowed.

All comparable sales may be from within the subject's project if the project is established and consists of 100

or more units. Recent sales of model match units, if available, must be utilized in the appraisal report.

NEW OR NEWLY CONVERTED PROJECTS

> **§ 1.9.1.15.5**

50% of the total units in the project or subject's phase must be sold and conveyed to the unit owners AND at

least 50% of the units must be owner occupied.

Project or subject's legal phase along with other development phases must be complete. All common

elements in the project or legal phase must be 100% complete.

Project may be subject to additional phasing.

The project developer may be in control of the condominium association provided the Master Agreement

allows for the homeowners to take control upon either a predetermined percentage of unit sales or within a

defined time frame.

Condominium Hotels

> **§ 1.9.1.15.6**

Condominium Hotel - (a.k.a. Condo Hotel, Condotel)

A condotel is a condominium project that markets and/or manages daily, weekly, monthly, or seasonal rentals, also known as short-term rental units.

Characteristics may include, but are not limited to, the following:

- HOA or the HOA's Property Management Company markets and/or manages the short-term rental units
- On-site or off-site leasing office markets and/or manages the short-term rental units on behalf of the HOA or the HOA's Property Management Company
- On-site, off-site, or centralized reservation and/or registration is managed by the HOA or the HOA's Property Management Company
- Hotel/motel amenities, services, and/or fees offered by the HOA or the HOA's Property Management Company
- Unit is accessed through a central key system
- Interior doors adjoin separate units
- Exit, emergency, or evacuation plans are posted inside the unit

Unit owner who offers and/or manages the subject property as a short-term rental should not be used as the sole factor to determine the subject property is a condotel.

When community amenities are present (e.g., bellman, valet, restaurants), due diligence must be exercised in determining if the amenities are privately owned or if they are offered as hotel/motel

service. If privately owned, presence of these community amenities does not automatically make the project a condotel.

When commercial offerings are present (e.g., retail stores, office space), due diligence must be exercised in determining if the amenities are privately owned or if they are offered as hotel/motel

service. If privately owned, presence of these community amenities does not automatically make the project a condotel.

Occupancy Type: Primary, Second Home, or Investment

Maximum LTV/CLTV: See program Loan/LTV matrix

Maximum Loan Amount: See program Loan/LTV matrix

Investor concentration, within the subject project, may exceed established project criteria, up to 100%.

Gross rents (for all income doc types) reduced by 10% to reflect extraordinary costs (i.e., advertising, furnishings, cleaning) associated with operating short-term rental property compared to non-short-term property.

Minimum square footage: 500

Fully functioning kitchen - appliances to include a refrigerator and cooktop/stove/oven

Separate bedroom required

Ineligible Projects

> **§ 1.9.1.15.7**

A project subject to the rules and regulations of the US Securities and Exchange Commission. Timeshare or projects that restrict the owner's ability to occupy the unit.

Houseboat project.

Manufactured home projects.

Assisted living facilities or any project where the unit owner's contract includes a lifetime commitment from the

facility to care for the unit owner regardless of future health or housing needs.

Multi-family units where a single deed conveys ownership of more than one, or all of the units.

A common-interest apartment

A project in which individuals have an undivided interest in a residential apartment building and land and have

the right of exclusive occupancy of a specific apartment unit in the building.

The project or building is often owned by several owners as tenants-in-common or by a homeowners' association.

Fragmented or segmented ownership

Ownership is limited to a specific period on a recurring basis (i.e., timeshare, quarter share).

Any project where the developer (or its affiliates) owns the Common and/or Limited Elements and leases the elements back to the HOA.

Any project that has non-conforming zoning (can't be rebuilt to current density).

Any project that requires Private Transfer Fees as a part of the transaction, and those fees do not benefit the association.

Any project in need of critical repairs.

Any project with significant deferred maintenance or has received a directive from a regulatory or inspection

agency to mark repairs due to unsafe conditions.

Any project with outstanding violations of jurisdictional requirements (zoning ordinances, codes, laws, etc.)

related to the safety, soundness, structural integrity, or habitability of the project's building(s).

Condominium Insurance Requirements

> **§ 1.9.1.15.8**

Project to meet all Fannie Mae® insurance requirements for property, liability, and fidelity coverage, except for the

master insurance deductible.

MASTER PROPERTY INSURANCE

> **§ 1.9.1.15.9**

Master property insurance policies are required for the common elements and residential structures unless the condo project requires individual property insurance policies for each unit. In that case, the individual property insurance policy must meet the requirements.

Master property insurance policy must provide for claims to be settled on a replacement cost basis.

Property insurance policies that provide for claims to be settled on an actual cash value basis are not acceptable.

Policies that limit, depreciate, reduce, or otherwise settle losses at anything other than a replacement cost

basis are also unacceptable.

The seller must verify that the property insurance coverage amount is at least equal to 100% of the

replacement cost value of the project improvements, including common elements and residential structures,

as of the current property insurance policy effective date.

The source that the seller uses to verify the coverage amount may be the property insurer, an independent

insurance risk specialist, or other professional with appropriate resources to make such a determination. This

may include, but is not limited to, a statement from the insurer or other applicable

professional, a replacement

cost estimator, or an insurance risk appraisal.

Master insurance policy must include the project name and project address for the location of the condo

project.

Borrower name, unit number, and mortgagee clause are not required to be included in master insurance

policy.

Deductible

The maximum deductible is 10%.

Fidelity or Employee Dishonesty Insurance

> **§ 1.9.1.15.10**

For condominium projects consisting of more than 20 units, fidelity insurance coverage equaling at least the sum

of three months of assessments on all units in the project is required.

GENERAL LIABILITY INSURANCE

> **§ 1.9.1.15.11**

General liability insurance is required for all condo projects, except for detached condo units and 2-4 unit condo

projects.

When required, the HOA must maintain a general liability insurance policy for the entire project. The general

liability insurance policy must include coverage for:

Commercial spaces that are owned by the HOA even if they are leased to others, and

Bodily injury and property damage that results from the operation, maintenance, or the use of the project's

common elements, and any other areas under its supervision

Amount of coverage must be at least \$1,000,000 for bodily injury and property damage for any single

occurrence.

The general liability insurance policy must include a separation of insureds or severability of interests

provision in its terms. If the policy does not include separation of insureds or severability of interests in its

terms, Total Quality Lending requires a specific endorsement to preclude the insurer's denial of a unit owner's

claim because of negligent acts of the HOA or co-op corporation or of other unit owners.

H0-6

> **§ 1.9.1.15.12**

The borrower must maintain H0-6 Policy or "Walls-In" coverage unless the master property insurance policy

provides coverage for the subject unit. The effective date of the policy must be on or before the Note date.

H0-6 Policy must include coverage for replacement of such items as flooring, wall covering, cabinets, fixtures,

built-ins, and any improvements made to the unit if the master or blanket policy does not provide interior unit

coverage.

Deductible

The maximum deductible amount is based on the following:

- 5% deductible for LTV > 80%
- 10% deductible for LTV <= 80%

MASTER FLOOD INSURANCE

> **§ 1.9.1.15.13**

The condominium homeowner's association must obtain an NFIP Residential Condominium Building Association Policy (RCBAP) or equivalent private flood insurance coverage for a condo building consisting of attached units located within an SFHA.

The only building that must be verified is the subject unit's building. Evidence of master flood insurance policy is not required if the unit owner maintains an individual flood dwelling policy that meets the coverage requirements.

Master flood insurance policy must cover the following:

Subject unit's entire building, and All of the common elements and property, including machinery and equipment that are part of the building

Building Coverage must be at least equal to the lesser of:

80% of the replacement cost value, or

Maximum coverage amount available per NFIP per unit (i.e., Total number of units in the condominium building times \$250,000)

Contents Coverage must be at least equal to the lesser of:

100% of the replacement cost value of all contents owned in common by the association members, or

Maximum coverage amount available from NFIP

Deductible

Deductible may not exceed the maximum deductible amount currently offered by NFIP

##-----##

TQL Smart Equity = Closed End Second Mortgage Eligibility Guidelines, separated form the Standard TQL Gudies

> **§ 1.9.1.15.14**

Closed End Second loans submitted to Total Quality Lending must meet the eligibility criteria of the current

published Non-Agency Guide. Non-Agency loans submitted to Total Quality Lending must meet the criteria of the

current published Eligibility Guide as of the Total Quality Lending loan lock date for review.

Follow policy and procedures, reference Chapter 1 - Doing Business with Total Quality Lending.

Program Matrix - Refer to martices posted online or contact sales

Combined Loan Balance

> **§ 1.11**

The CLTV of the combined loan balances are restricted as follows:

Combined loan balance > \$2,000,000 - maximum 80% CLTV

Combined loan balance > \$3,000,000 - maximum 75% CLTV

Maximum combined loan balance for all liens not to exceed \$4,000,000.

Minimum Credit Score

> **§ 1.11.1**

Minimum: 680

Qualifying Payment

> **§ 1.12**

The closed end second qualifying payment is based upon the amortized principal and interest payment. For

interest only loans, this is the remaining term (amortized) after expiration of the interest only period.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, see

Section Debt-to-Income (DTI) Ratio.

First Lien Documentation Requirements

> **§ 1.13**

Verify the 1st lien P&I payment with all the following:

Copy of 1st lien Note

Default interest rate on Note cannot exceed Note rate

If Interest Only and/or ARM, terms of the Note to be reviewed (See DTI Requirements)

Copy of most recent monthly mortgage payment statement

Utilized to determine if payment includes escrows (See DTI Requirements)

Ineligible First Liens

> **§ 1.14**

First liens with the following high-risk features are not eligible:

Loans in active forbearance or deferment

Forbearance, modifications, or deferrals (including COVID-19 related events) completed or reinstated within

12-months of the Note date

Negative amortization payment including loans with Paid-In-Kind (PIK) features
Balloon term, if the balloon payment becomes due during the amortization period of the new 2nd lien
Reverse Mortgages
Loans secured by more than one underlying property, including cross collateralized loans or blanket mortgages
Home Equity Line of Credit
Note terms that include a default interest rate greater than the Note rate
AGE OF DOCUMENT REQUIREMENTS
> **§ 1.14.1**

Credit Review Documentation
> **§ 1.14.1.1**
The following documents may not be more than 120 days old at closing (the date the Note is signed):
Income verification/pay stubs
Asset documents/bank statements
Credit Report
Title Commitment/Preliminary Report/Binder
Owner & Encumbrance Report (O&E)
Any credit review documents exceeding these timeframes must be updated.
Appraisal
> **§ 1.14.1.2**
Full Appraisal (FNMA Form 1004/1025/1073) and Exterior Drive-By Appraisal (Hybrid/2055/1073) must be dated within 365 days of the Note date.
Recertification of value required if the report exceeds 120 days of the Note Date. See complete appraisal requirements in Section - Appraisal Requirements 1-4 Unit Residential.
AVMs must be dated within 90-days of the Note date.
Borrower Eligibility
> **§ 1.14.2**

Eligible Borrowers
> **§ 1.14.2.1**
U.S. Citizens, see First Lien criteria Section - US Citizens
Permanent Resident Aliens, see First Lien criteria Section - Permanent Resident Alien
Non-Permanent Resident Aliens, see First Lien criteria Section - Non-Permanent Resident Alien
Max CLTV 80%
Ineligible Borrowers
> **§ 1.14.2.2**
Foreign Nationals
Non-occupant co-borrowers
First time homebuyers
Borrowers with diplomatic immunity, as defined by US Citizenship and Immigration Services
Persons sanctioned by OFAC
Any material parties (company or individual) to the transaction listed on HUD's Limited Denial of Participation (LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list.
Not-For-Profit entity
Title Vesting and Ownership
> **§ 1.14.2.3**
Subject property must be owned a minimum of 6 months to be eligible, as measured from the property acquisition date (Note date) to the subject transaction Note date.
Vesting for Consumer and Business Purpose Loans
> **§ 1.14.2.3.1**
Ownership must be fee simple. Leaseholds are not eligible.
Eligible forms of vesting are:
Individuals
Joint tenants
Tenants in Common
Inter Vivos Revocable Trust
Illinois Land Trust
Ineligible forms of vesting are:
Land Trust
IRAs
Blind Trust
Irrevocable Trust
Not-For-Profit entity
Inter Vivos Revocable Trust

> **§ 1.14.2.3.2**

See First Lien criteria, Section - Inter Vivos Revocable Trust.
Vesting for Business Purpose Loans (Investment Occupancy)

1.14.2.3.3

A Business Purpose Loan where the borrower is an entity is limited to the following structures:
Limited Liability
Company (LLC), Partnership, and Corporation.

See First Lien criteria, Section - Vesting for Business Purpose Loans.

Entity Documentation Requirements

> **§ 1.14.2.3.4**

Limited Liability Company (LLC)

Entity articles of organization or partnership (or equivalent)

Evidence of good standing for the state in which the entity was formed

- o Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)

- o For all other entities, a certificate of good standing is required as follows:

- Certificate of Good Standing or screen shot from state website

- The date the document was pulled must be dated within 120 days of the Note date

Entity documents authorizing the guarantor to execute loan documents on behalf of the entity
(e.g., Operating

Agreement, Certificate of Authorization)

- o If not available, a Borrowing Certificate is required

- Borrowing Certificate (LLC Borrowing Certificate - Single Member or LLC Borrowing Certificate - Multiple Member)

Entity documents must include a list of members/managers (e.g., organization structure) and, if more than one

member/manager, the ownership percentage must also be included

Employer Identification Number (EIN)/Tax Identification Number

- o Single-member LLC may use EIN or the guarantor social security number

- o Multi-member LLCs require an EIN

Corporation

Filed Certificate/Articles of Incorporation and all amendments (or equivalent)

By-Laws and all amendments

Evidence of good standing for the state in which the entity was formed

- o Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)

- o For all other entities, a certificate of good standing is required as follows:

- Certificate of Good Standing or Screen shot from state website

- The date the document was pulled must be dated within 120 days of the Note date

EIN/Tax Identification Number

Borrowing Resolution/Corporate Resolution granting authority of signer to enter loan obligation
Partnership

Filed Partnership Certificate (if a general partnership, filing with the SOS may not be required)

Partnership Agreement and all amendments

Evidence of good standing for the state in which the entity was formed

- o Evidence of good standing not required for new entity (i.e., formed within 120 days of the Note date)

- o For all other entities, a certificate of good standing is required as follows:

- Certificate of Good Standing or Screen shot from state website

- The date the document was pulled must be dated within 120 days of the Note date

EIN/Tax Identification Number

Limited partner consents (where required by partnership agreement).

Documents must be completed and signed as follows:

Signed as an individual(s):

- o Loan Application (FNMA Form 1003)

- Completed for each member of the Entity providing a guaranty.

- Section labelled "Title will be held in what Name(s)" should be completed with only the Entity name.

- Signed by Individuals

- o Personal Guaranty

- Completed for each member of the Entity providing a guarantee.

- The guaranty should be executed at loan closing and dated the same date as the Note.

- Personal Guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied

with a Spousal Consent to Pledge, see Spousal Consent Form.

Signed by the authorized signer for the entity:

- o Disclosures (e.g., GFE, TIL, LE, CD, ECOA)

- o Any state or federally required settlement statement as applicable

- o Note, Deed of Trust/Mortgage, and all Riders

Power of Attorney

> **§ 1.14.2.3.5**

Power of Attorney is not eligible.

Occupancy Types

> **§ 1.14.2.4**

See First Lien criteria, Section - Occupancy Types.

Borrower Statement of Occupancy

> **§ 1.14.2.5**

The borrower must acknowledge the intended occupancy of the subject property ("Primary Residence", "Second Home", or "Investment") by completing and signing the appropriate sections of the "Occupancy Certification".

Borrower Statement of Business Purpose

> **§ 1.14.2.6**

All business purpose transactions require the borrower to acknowledge the loan is a business purpose loan by completing and signing the appropriate sections of the "Borrower Statement of Business Purpose" form in this guide. Total Quality Lending reserves the right to decline any loan that may indicate the property is not intended exclusively for investment purposes.

Common occupancy red flags include, but are not limited to:

Subject property value significantly exceeds the value of the borrower's primary residence.

The borrower is a first time homebuyer and currently living rent free or renting his/her primary residence.

Subject property could reasonably function as a second home.

Borrower documents show subject property as current residence.

Transaction Types

> **§ 1.14.3**

Eligible Transactions

> **§ 1.14.3.1**

* Simultaneous Purchase

> **§ 1.14.3.1.1**

See First Lien criteria, Section - Purchase.

First Lien must be an agency-eligible loan

- DU or LPA approval required

* Stand Alone Cashout

> **§ 1.14.3.1.2**

Any transaction not used to purchase the subject property is considered cashout.

Subject property must be owned a minimum of 6 months (on title) to be eligible, as measured from property acquisition date (Note date) to the subject transaction Note date.

Loans not eligible for cash-out:

- Primary Residence, Second Home, or Non-Owner Occupied properties listed for sale in the past six

- (6) months.

- There has been a prior cash-out transaction within the past six (6) months

- Lien Free Properties - If the subject property is lien free, including delayed financing, ineligible

- Frequent Refinances - Two (2) or more cash out refinances in the past twelve (12) months

All existing subordinate liens must be satisfied. No resubordinating permitted.

- Payoff of a Land Contract/Contract for Deed.

If the cash-out seasoning is less than 12-months, but greater than 6 months, the transaction property

value is limited to the lower of the current appraised value or the property's purchase price plus

documented improvements.

Listing Seasoning

> **§ 1.14.3.2**

Properties currently listed for sale or previously listed for sale within the past 6 months are ineligible.

Non-Arm's Length Transactions

> **§ 1.14.3.3**

See First Lien criteria, Section - Non-Arm's Length Transactions.

Interested Party Contributions (Seller Concessions)

> **§ 1.14.3.4**

See First Lien criteria, Section - Interested Party Contributions.

Escrows - Impound Accounts

> **§ 1.14.3.5**

Escrow accounts are not permitted on second lien programs.

If the property is located in a flood zone, evidence of flood insurance is required.

Subordinate Financing

> **§ 1.14.3.6**

All existing subordinate liens must be satisfied except for solar panel liens/UCCs (restrictions apply, see Section - Solar Panels).

Prepayment Penalty

> **§ 1.14.3.7**

Prepayment penalty is not required.

Credit

> **§ 1.14.4**

Credit Reports

> **§ 1.14.4.1**

A credit report is required for each individual borrower, including any member of an entity providing a personal

guaranty. The credit report should provide merged credit data from the three major credit repositories: Experian,

TransUnion, and Equifax. Either a tri-merged credit report, or a Residential Mortgage Credit Report is required.

The credit report used to evaluate a loan may not reflect a security freeze. Any frozen credit must be unlocked,

and a new credit report (tri-merge or Residential Mortgage Credit Report) must be obtained to reflect current and

updated information from all repositories.

Gap Credit/Undisclosed Debt

> **§ 1.14.4.2**

A gap credit report or Undisclosed Debt Monitoring Report (UDM) is required. See First Lien criteria, Section -

Gap Credit/Undisclosed Debt.

Fraud Report and OFAC Search

> **§ 1.14.4.3**

Fraud Report: See First Lien criteria, Section - Fraud Report for additional requirements.

OFAC SDN search - Individuals: See First Lien criteria, Section - OFAC Search for Individuals for additional

requirements.

Credit Inquiries

> **§ 1.14.4.4**

Credit inquiries are to be addressed. See First Lien criteria, Section - Credit Inquiries.

Housing History

> **§ 1.14.4.5**

Housing payment history is required for all Real Estate Owned (REO) evidencing the payment activity for the most

recent 12-months.

For refinances, most recent 12-month housing payment history is required for all mortgages secured by the

subject property.

All payment history will be used for program eligibility.

Housing payments must be paid current as of 45 days of the loan application date

Any REO listed on the application owned free & clear requires a Property Profile Report or similar document

Property taxes, all insurance, and homeowner's association dues (if applicable) are to be verified and

included in DTI

Borrower(s) who sold a primary residence within the past six (6) months, currently residing rent-free, and

purchasing a new primary residence are allowed. 12-month mortgage history is required on previous primary

residence.

Borrowers who are currently renting a residence, a most recent 12-month rental history is required reflecting

paid as agreed.

If income is being used from a non-subject REO, a housing history is required.

Applies to properties vested to an individual or entity.

Mortgage liability must be factored in to the net rental income used for qualification.

Mortgage Verification

> **§ 1.14.4.5.1**

The seller must review mortgage history documentation to determine the payment status of all mortgage accounts.

Rolling late payments are not considered a single event. Each occurrence of a contractual delinquency is

considered individually for loan eligibility.

Mortgage(s) Reporting on Credit Report

> **§ 1.14.4.5.2**

The seller must review the credit report to determine the payment status of all reported mortgage accounts for the

previous 12-months.

If a complete 12-month mortgage history is not reported on the credit report, the seller must use one of the

following to complete the borrower's payment history:

Credit supplement; or
Verification of Mortgage form (VOM) completed by the creditor/servicer; or
Loan payment history from the creditor/servicer; or
Borrower's proof of payment (e.g., cancelled check, ACH payment, bank transfer, etc.)
For the subject property First Lien: Copy of the Note and mortgage statement for the review period are required.

Mortgage(s) Not Reporting on Credit Report

> **§ 1.14.4.5.3**

The seller must review documentation for the previous 12-months to determine the payment status of all mortgage accounts not reporting on the credit report.

12 months mortgage payment history is to be documented, as follows:

Proof of payments through one of the following:

12-months cancelled checks, ACH payment, bank transfer/wire, or electronic payment method from the borrower

Payments made in cash are not eligible, or

12-months mortgage statements for the review period, or

12-months loan payment history from the creditor/servicer

Proof of borrower's payment for the most recent 6-months is required, or

12-months Verification of Mortgage form (VOM) completed by the creditor/servicer

Proof of borrower's payment for the most recent 6-months is required, or

Credit supplement

Proof of borrower's payment for the most recent 6-months is required

For the subject property First Lien: Copy of the Note and mortgage statement for the review period are required.

Rental Verification

> **§ 1.14.4.5.4**

A 12-month rental history is required for all Total Quality Lending programs when the borrower is renting their current primary residence. The following documents are required:

A verification of rent (VOR):

A third-party VOR is required for any file when the borrower is currently renting.

Any VOR completed by a private party, or any non-institutional landlord must be supported by alternative

documentation showing the most recent 6-month history (cancelled checks, rental statements including payment history, etc.).

Consumer Credit

> **§ 1.14.4.6**

See First Lien criteria, Section - Consumer Credit.

Foreclosure / Deed-in-Lieu / Short Sale / Preforeclosure / Mortgage

Charge-Off / Notice of Default

> **§ 1.14.4.7**

Must be completed a minimum of 48 months. The length of time is measured from the settlement date to the Note

date. In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

The following events are considered the same as a foreclosure for loan eligibility:

Deed-In-Lieu of foreclosure: Transaction in which the deed to the real property is transferred back to the

servicer. These are typically identified on the credit report through Remarks Codes such as "Forfeit

deed-in-lieu of foreclosure."

Short Sale or Preforeclosure Sale: Sale of a property in lieu of a foreclosure resulting in a payoff of less

than the total amount owed, which was pre-approved by the servicer. These are typically identified on the

credit report through Remarks Codes such as "Settled for less than full balance."

Charge-off of a Mortgage Account: Occurs when a creditor has determined that there is minimal likelihood

that the mortgage debt will be collected. A charge-off is typically reported after an account reaches a certain

delinquency status and may be identified on the credit report with a manner of payment (MOP) code of "9."

Notice of Default: Public notice filed with a court or local recording office to being the process of foreclosure.

Bankruptcy History

> **§ 1.14.4.8**

Recent bankruptcies are not allowed. Evidence of bankruptcy resolution is required. The length of time is

measured from the discharge/dismissal date to the Note date.

Bankruptcy must be completed a minimum of 48 months.

In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

Forbearance, Modification, or Deferral

> **§ 1.14.4.9**

Forbearances, modifications, and deferrals are considered under housing payment history as outlined below:

* Greater than 12-months from Note Date:

> **§ 1.14.4.9.1**

Forbearance, loan modifications, or deferrals completed or reinstated greater than 12-months from the

Note date of the subject transaction and having a 0x30x12 Housing History are allowed.

* Within 12-months of Note Date:

> **§ 1.14.4.9.2**

Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date

of the subject transaction are not eligible.

Credit Score and Tradelines

> **§ 1.14.4.10**

See First Lien criteria, Section - Credit Score and Section - Tradelines.

Obligations Not Appearing on Credit Report

> **§ 1.14.4.11**

See First Lien criteria, Section - Obligations Not Appearing on Credit Report.

Assets

> **§ 1.14.5**

THE FOLLOWING APPLY TO SIMULTANEOUS PURCHASE TRANSACTIONS.

Asset Requirements

> **§ 1.14.5.1**

Acceptable asset documentation is required to be included in each loan file for simultaneous seconds. The

borrower must meet the minimum contribution amount per program requirements for the first lien. Assets should

be liquid or able to be liquidated without restriction by the borrower. The documentation requirement for all

transactions is a single account statement covering a one (1) month period and dated within 120 days of the loan

note date.

Asset Documentation

> **§ 1.14.5.2**

See First Lien criteria, Section - Asset Documentation.

Reserves

> **§ 1.14.5.3**

Simultaneous Transactions: Follow First lien requirements

Stand-Alone Transactions: Reserves are not required.

Income

> **§ 1.14.6**

Income Analysis

> **§ 1.14.6.1**

See First Lien criteria, Section - Income Analysis.

Debt-to-Income (DTI) Ratio

> **§ 1.14.6.2**

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Total Quality Lending guidelines and

the inclusion of all income and liability expenses. See First Lien criteria, Section - Debt-To-Income (DTI) Ratio.

Maximum DTI ratio for Closed End Second is as follows:

50% DTI for CLTV less than or equal to 80%

45% DTI for CLTV greater than 80%

Documentation Options

> **§ 1.14.6.3**

See First Lien criteria, Section - Documentation Options.

Standard Documentation

> **§ 1.14.6.4**

See First Lien criteria, Section - Standard Documentation.

Alt Doc Bank Statements

> **§ 1.14.6.5**

See First Lien criteria, Section - Alt Doc Bank Statements.

Alt Doc - Rental Income

> **§ 1.14.6.6**

See First Lien criteria, Section - Alt Doc Rental Income.

Alt Doc - IRS Form 1099

> **§ 1.14.6.7**

See First Lien criteria, Section - Alt Doc IRS Form 1099.

Alt Doc - Written Verification of Employment

> **§ 1.14.6.8**

A written Verification of Employment (WVOE) may be utilized when documenting wages/salary income. The

following criteria applies:

Two year history with the same employer is required.

Completed FNMA Form 1005

Primary Residence, Second Home, and Investment allowed.

24-month 0x30 housing history required.

Paystubs, Tax Returns, 4506-C, or W-2's not required.

Must be completed by Human Resource, Payroll Department or Officer of the Company.

Two (2) Months Personal Bank Statements required to support the WVOE. The bank statements must reflect

deposits from the employer supporting at least 65% of gross wage/salary reflected on the WVOE.

No gift funds allowed.

Borrower(s) employed by family members or related individuals are not eligible.

An internet search of the business is required with documentation to be included in the credit file to support

the existence of the business.

Other sources of income, documented using Alt Doc, are eligible and can be used to determine total

household qualifying income.

For the borrower utilizing the WVOE, no other active employment income may be utilized, passive income

such as rental income can be included.

Desktop Underwriter (DU) and Loan Product Advisor (LPA)

> **§ 1.14.6.9**

Simultaneous purchase transactions only

Final AUS findings must be included in the loanfile:

Fannie Mae: DU Approve/Eligible, or

Freddie Mac: LPA Accept/Eligible

AUS Findings: Ineligible, Caution, or Refer with Caution not allowed

Findings permitted to be used for income, asset, and liability documentation

Appraisal must follow the requirements of this Closed End Second program

Appraisal waiver option from DU or LPA findings not eligible

Max DTI based upon CLTV restrictions for this Closed End Second program

Property Eligibility

> **§ 1.14.7**

Appraisals

> **§ 1.14.7.1**

When a full appraisal is utilized for the value determination, see First Lien criteria as follows:

Section - Appraisal Requirements 1-4 Unit Residential

Section - Appraiser License and Certification

Section - Appraisal Age

Section - Appraisal Evaluation

Appraisal Requirements

> **§ 1.14.7.1.1**

Primary valuation and secondary valuation (appraisal review) are required for all loan files.

Primary valuation products are referenced below. See Section Appraisal Review Products 1-4

Residential Property

for eligible valuation products.

HPML loans that are not Qualified Mortgages require a full appraisal with an interior inspection, regardless of the

loan balance.

Primary Valuation - Loan Amount <=\$250,000

> **§ 1.14.7.1.2**

Provide one of the following:

AVM from an approved vendor with an acceptable FSD score and a new Property Condition Report with

acceptable findings

AVM may not be more than 90 days old at closing (date the Note is signed)

Exterior Drive-By appraisal (Hybrid or 2055 or 1075)

Only allowed for one (1) unit property, with or without an accessory dwelling unit

New Appraisal (FNMA Form 1004/1025/1073)

Prior 1st lien appraisal dated within 12-months of subject loan Note date allowed subject to the following:

The lender on the prior appraisal must be the same as the subject loan, and

A new Property Condition Report with acceptable findings, and

Recertification of value by the original appraiser.

Broker Price Opinion (BPO) from one of the following:

Clear Capital, or

Consolidated Analytics, or

Computershare, or
Stewart Valuation Intelligence
Primary Valuation - Loan Amount >\$250,000

> **§ 1.14.7.1.3**

Provide one of the following:

New Appraisal (FNMA Form 1004/1025/1073)

Prior 1st lien appraisal dated within 12-months of subject loan Note Date allowed subject to the following:

The lender on the prior appraisal must be the same as the subject loan, and

A new Property Condition Report with acceptable findings, and

Recertification of value by original appraiser, and

AVM from an approved vendor with an acceptable FSD score.

- AVM may not be more than 90 days old at closing (date the Note is signed).

- The lower of the Prior **Appraisal** value or the current AVM will be used to determine **CLTV**.

AVM Vendors

> **§ 1.14.7.1.4**

* Clear Capital Acceptable FSD Score Range 0.00 to

> **§ 0.13**

Property Condition Reports

> **§ 1.14.7.1.5**

When required, a Property Condition Report (i.e., Clear Capital Property Condition Inspection) should be obtained

to include an exterior photo of the subject property along with a rating of the property's physical condition and characteristics.

Transfer of Appraisal

> **§ 1.14.7.1.6**

A transferred appraisal report is acceptable provided the report meets the seller's appraisal requirements for independence.

Appraisal Review Products 1-4 Residential Property

> **§ 1.14.7.1.7**

An appraisal review product (secondary valuation) is required on every loan file unless a second appraisal is

obtained. The appraisal review product should provide an "as is" value for the subject property (the "Appraisal

Review Value") as of the date of the subject loan transaction.

The Seller may submit the appraisal report to Collateral Underwriter® (CU) or Loan Collateral Advisor ®

(LCA). An eligible score is 2.5 or less. The file must include a copy of the Submission Summary Report

(SSR).

Only one score required, if both scores (CU & LCA) provided, both required to be 2.5 or less.

If the score exceeds 2.5, the file must include either an enhanced desk review, field review, or second

appraisal; or

An enhanced desk review product from one of the following choices:

ARR from Stewart Valuation Intelligence FKA Pro Teck

CDA from Clear Capital

ARA from Computershare

CCA from Consolidated Analytics

VRR from Homegenius Real Estate

Valreview Appraisal Review Value from Valligent (Veras Software Company)

If the enhanced desk review or BPO product reflects a value more than 10% below the appraised value or

cannot provide a validation, the file must include either a field review or a second appraisal.

A field review or a

second appraisal is acceptable. These may not be from the same appraiser or appraisal company as the

original report.

AVM from an approved vendor with an acceptable FSD score.

AVM may not be more than 90 days old at closing (the date the Note is signed).

If primary valuation is based on an AVM, review must be from a different vendor.

If two AVMs are ordered, the AVM with the highest FSD score (closest to zero) will be treated as the

primary valuation product.

The second AVM will be treated as the secondary valuation product and must support the primary AVM

within 10%. If the second AVM does not support the primary AVM within 10%, the file must include either

a BPO, exterior-only appraisal, or full appraisal.
If both AVMs have the same FSD, the lower of the two property values must be utilized for determining the CLTV.

Broker Price Opinion (BPO)
If two BPOs are ordered, the BPO with the lowest value will be treated as the primary valuation product.
If two BPOs are ordered, they must be completed by different brokers

Minimum Property Requirements
> **§ 1.14.7.2**

* Minimum Square Footage:
> **§ 1.14.7.2.1**

Single Family 700 sq ft
Condo 500 sq ft
Units 400 sq ft per individual unit
* All properties must:
> **§ 1.14.7.2.2**

Be improved real property.
Be accessible and available for year-round residential use.
Contain a full kitchen and a bathroom.
Represent the highest and best use of the property.
o Not contain any health or safety issues.

Personal Property
> **§ 1.14.7.3**

See First Lien criteria, Section - Personal Property.

Escrow Holdbacks
> **§ 1.14.7.4**

Escrow holdbacks are not allowed.

Declining Markets 1,14.7.5
The loan transaction is subject to a CLTV cap if the property is in a declining market.
Declining markets are determined by a) property location in a State identified by Total Quality Lending, or b) the appraisal report reflects a declining market under housing trends. State eligibility is referenced on the Loan LTV Matrix. The program specific CLTV cap is as follows:
80% CLTV Purchase and Refinance

Property Types
> **§ 1.14.8**

Eligible Properties
> **§ 1.14.8.1**

Single Family Detached
Single Family Attached
Planned Unit Development (PUD)
Single Family Detached homes with PUD riders
De minimus Planned Unit Development (dPUD)
PUD with "de minimus" monthly HOA dues
2-4 Unit residential properties
Condominium (See Section - Condominium Projects for complete condominium eligibility criteria)
TILA Higher Priced Mortgage Loans (HPML) Appraisal Rule
1026.35(A)(1) (Property Flips)
> **§ 1.14.8.1.1**

See First Lien criteria, Section - TILA Higher Priced Mortgage Loans.

Ineligible Properties
> **§ 1.14.8.1.2**

Properties currently listed for sale or previously listed for sale within the past 6-months
Rural property
A property is classified as rural if:
- The appraiser indicates in the neighborhood section of the report a rural location; or
- Any of the following two (2) conditions exist:
- The property is located on an unpaved road, and
- Two of the three comparable properties are more than five (5) miles from the subject property.
Less than 25% of the surrounding area is undeveloped
For other ineligible properties, see First Lien criteria Section - Ineligible Properties.

Acreage Limitations
> **§ 1.14.8.2**

See First Lien criteria, Section - Acreage Limitations.

State Eligibility
> **§ 1.14.8.3**

See the Total Quality Lending Loan Eligibility Matrix for state eligibility restrictions.

Title Requirements
> **§ 1.14.8.4**

For loan balances less than or equal to \$250,000, provide one of the following:
Owner and Encumbrance Report (O&E), to include:
Current Grantee / Owner
How property was conveyed to current owner
Liens (e.g., mortgage, UCC, other financing)
Involuntary liens and judgements
Property Tax Information with break-down of all taxes including special assessments
Legal Description
ALTA Full Title Policy
ALTA Short Form Residential Limited Coverage Junior Loan Policy
For loan balances greater than \$250,000, provide one of the following:

ALTA Full Title Policy
ALTA Short Form Residential Limited Coverage Junior Loan Policy
Solar Panel Requirements
> **§ 1.14.8.5**

Properties with Solar Panels
> **§ 1.14.8.5.1**

Solar panels are allowed unless they are financed through PACE, HERO, or equivalent. See
criteria in Section -
Solar Panel Requirements.

Leasehold Properties
> **§ 1.14.8.6**

Leasehold properties are not eligible.
Total Quality Lending Exposure - Borrower Limitations
> **§ 1.14.8.7**

See First Lien criteria, Section - Borrower Limitations.
Property Insurance

> **§ 1.14.8.8**

Hazard insurance coverage must provide for claims to be settled on a replacement cost basis
See First Lien Section - Property Insurance for additional clarification
Loss payee clause must reflect seller as additional insured

Flood Insurance
> **§ 1.14.8.9**

Flood determination required for every loan file
Properties within a flood zone require evidence of insurance coverage in accordance with the
HFIAA

See First Lien Section - Flood Insurance for additional clarification
Loss payee clause must reflect seller as additional insured

Disaster Areas

> **§ 1.14.8.10**

If a full appraisal is utilized (e.g., form 1004, 1073, 1025), see First Lien criteria Section -
Disaster Areas.

If other appraisal products (e.g., exterior-only form 2055/2075, AVM, BPO) are completed before
the disaster,
see First Lien criteria Section - Disaster Areas.

Condominium Projects

> **§ 1.14.8.11**

See First Lien criteria, Section - Condominium Projects, Section - Established Projects, and
Section - New or
Newly Converted Projects.

Ineligible Projects

> **§ 1.14.8.11.1**

Condominium Hotel - (a.k.a. Condo Hotel, Condotel)

See First Lien criteria, Section - Ineligible Projects for additional ineligible projects

Condominium Insurance Requirements

> **§ 1.14.8.11.2**

See First Lien criteria, Section - Condominium Insurance Requirements.